

Market Outlook 2026

Research Team
Samuel Sekuritas Indonesia

Your Lifelong
Investment Partner

www.samuel.co.id



Global & Regional Environment

Indonesia: One of the Highest GDP Growth in 2025-26

Consensus

World GDP

2024A: 3.2
2025F: 3.0 (2.9)
3.2 (IMF)
2026F: 2.9 (2.8)
3.1 (IMF)



USA

2024A: 2.8
2025F: 2.0 (1.9)
2.0 (IMF)
2026F: 2.0 (1.8)
2.1 (IMF)



Brazil

2024A: 3.4
2025F: 2.2 (2.3)
2.4 (IMF)
2026F: 1.7 (1.6)
1.9 (IMF)



UK

2024A: 1.1
2025F: 1.4 (1.3)
1.3 (IMF)
2026F: 1.1 (1.2)
1.3 (IMF)



Eurozone

2024A: 0.9
2025F: 1.4 (1.3)
1.2 (IMF)
2026F: 1.1 (1.2)
1.1 (IMF)



China

2024A: 5.0
2025F: 4.9 (4.8)
4.8 (IMF)
2026F: 4.4 (4.2)
4.2 (IMF)



India

2024A: 9.2
2025F: 6.3 (6.4)
6.6 (IMF)
2026F: 6.8 (6.7)
6.2 (IMF)



Russia

2024A: 4.3
2025F: 0.8 (1.0)
0.6 (IMF)
2026F: 1.2 (1.4)
1.0 (IMF)



Japan

2024A: 0.1
2025F: 1.3 (1.1)
1.1 (IMF)
2026F: 0.7 (0.8)
0.6 (IMF)



ASEAN-5

2024A: 4.5
2025F: 4.0 (3.9)
4.2 (IMF)
2026F: 3.7 (3.8)
4.1 (IMF)



Indonesia

2024A: 5.03
2025F: 5.0 (4.9)
5.0 (SSI)
4.7 (WB)
4.9 (IMF)
4.6 – 5.4 (BI)
5.2 (MoF)
2026F: 5.0 (4.9)
5.1 (SSI)
4.8 (WB)
4.9 (IMF)
4.7 – 5.5 (BI)
5.4 (MoF)



Australia

2024A: 1.1
2025F: 1.8 (1.7)
1.8 (IMF)
2026F: 2.2 (2.3)
2.2 (IMF)

Fed Rate: IDR Depreciation to Limit Lower Rates by BI

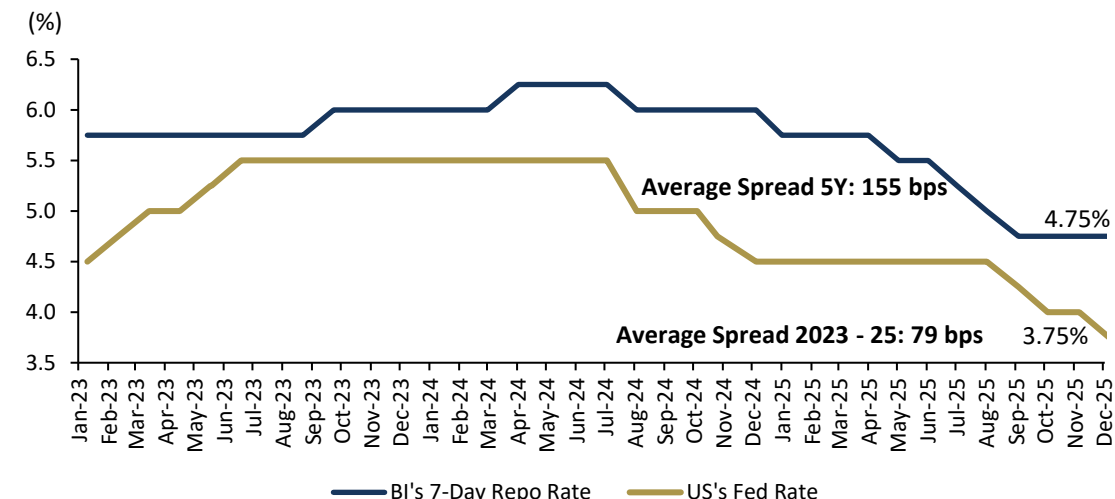
- The Fed's 25 bps cut to 3.50–3.75% in Dec-25 reinforces slow but steady easing cycle, though the tone remains far from dovish. The move lowers borrowing costs to their weakest level since 2022, while the unusually high number of dissenters highlights ongoing policy divisions. Projections were left unchanged—still signalling only one more cut in 2026—underscoring a controlled, front-loaded easing rather than a pivot. Upward revisions to 2025–26 growth and slightly lower PCE inflation support a soft-landing outlook. Globally, this implies mild front-end yield relief but still-positive real rates, keeping financial conditions stable rather than stimulative.
- For Indonesia, the Fed's move may provide flexibility for Bank Indonesia (BI) to cut in December given current spread with BI's 7DRR of 100 bps, still higher than 2023-25 average spread of 79 bps. The short-to-mid government bond curve would likely adjust lower, and help reinforce momentum in credit growth, investment planning, and household demand into 2026. Domestic growth remains underpinned by resilient consumption and down-streaming investment.
- However, BI's ability to cut will be limited by IDR depreciation, which has been one of the weakest performing currencies in the region, down 3.3% YTD against the USD. This is despite ample FX reserves, a stronger current account, and still-positive real yields. If BI delays, communication will likely emphasize FX stability and external-risk monitoring rather than inflation, which remains benign. November inflation eased to 2.72%, within BI's target, while 3Q CA surplus of USD 4.0 bn strengthens external buffers. Hinging on favorable government policies, the IDR remains central to BI's reaction function. Any renewed FX pressure—driven by year-end USD strength or geopolitical risks—could prompt delay to safeguard IDR.
- While the probability of December BI cut has increased following the Fed's move, the final decision is capped by IDR performances which will have the propensity to weaken this December on back of high USD demand in the lead up to holiday festivities including Christmas, CNY and Lebaran in March-26. That said, BI's timing of the easing will reflect policy trajectory shifting towards gradual normalization aimed at maintaining macro stability while supporting moderate acceleration in economic growth.

Regional Currency Performances

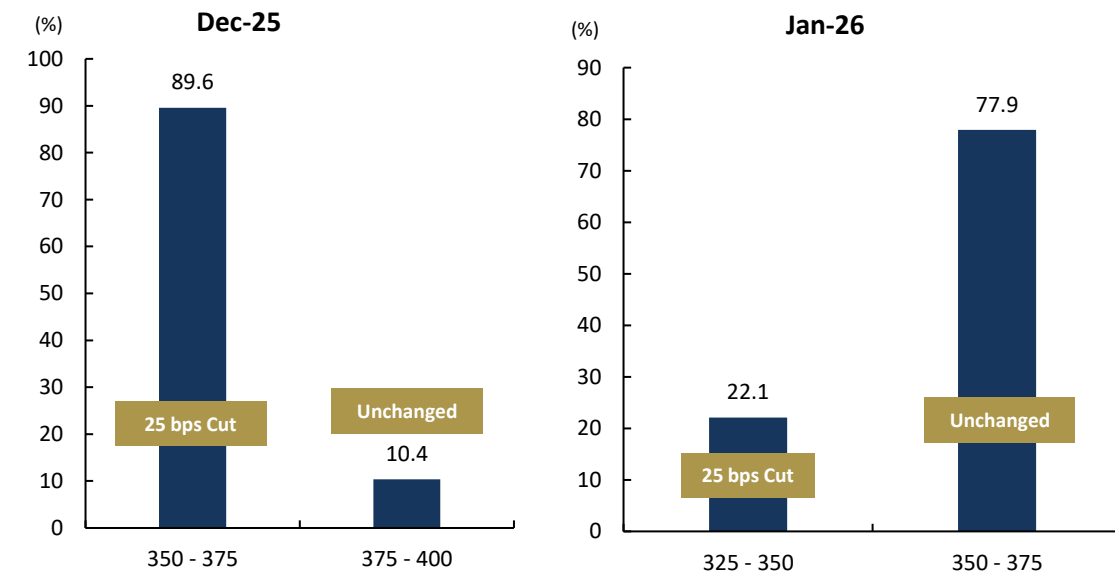
South-East Asia	YTD	2024	2023	10Y CAGR	East Asia & Australasia	YTD	2024	2023	10Y CAGR
MYR (Malaysia)	9.4	2.7	(4.1)	(1.6)	AUD (Australia)	7.4	(9.2)	(0.0)	(2.0)
THB (Thailand)	8.1	0.1	1.4	0.4	TWD (Taiwan)	4.8	(6.3)	0.0	0.1
SGD (Singapore)	5.8	(3.3)	1.5	0.3	CNH (China)	3.5	(2.7)	(2.8)	(1.3)
LAK (Laos)	0.9	(5.8)	(15.7)	(9.4)	NZD (NZ)	3.4	(11.5)	(0.5)	(2.9)
KHR (Cambodia)	0.6	1.4	0.8	0.2	JPY (Japan)	1.2	(10.3)	(7.0)	(2.6)
PHP (Philippines)	(2.1)	(4.2)	0.6	(2.8)	HKD (Hongkong)	(0.2)	0.6	(0.1)	(0.0)
VND (Vietnam)	(3.1)	(4.8)	(2.6)	(2.0)	KRW (Korea)	(0.3)	(12.5)	(1.8)	(2.9)
IDR (Indonesia)	(3.4)	(4.4)	1.1	(2.9)	MNT (Mongolia)	(3.4)	0.5	0.0	(6.1)
Average	2.0	(2.3)	(2.1)	(2.2)	Average	2.0	(6.4)	(1.5)	(2.2)

Sources: Bloomberg, SSI Research

US' Fed Rate and BI's 7-Day Repo Rate



Target Rate Probabilities for Dec-25 & Jan-26 Fed Meeting



Indonesian Economy

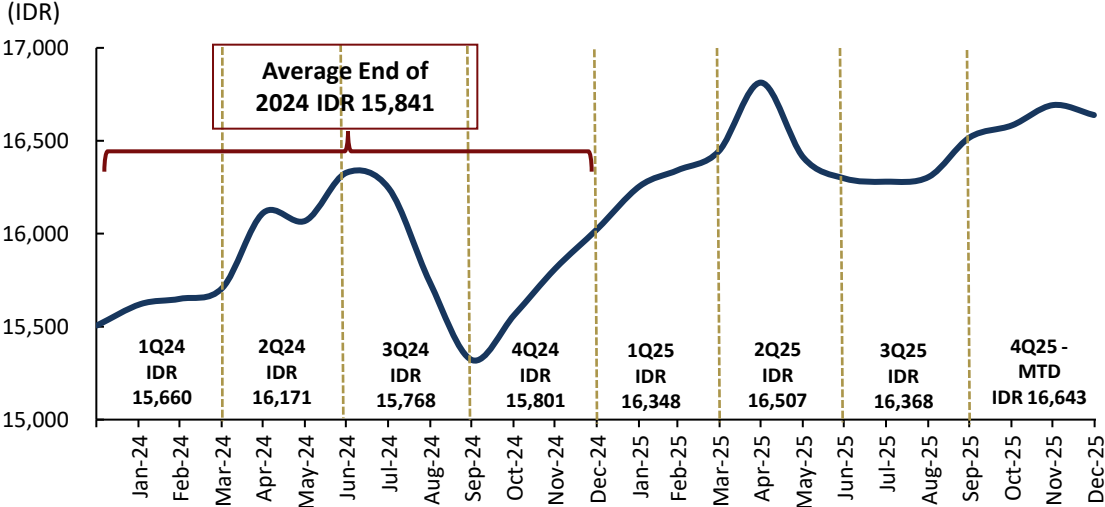
Macroeconomic Forecasts

Macro	2024	SSI's 2025F	State Budget 2025F	SSI's 2026F
GDP (% YoY)	5.02	5.01	5.20	5.10
Inflation (% YoY)	1.57	2.70	2.50	3.00
Current Account Balance (% GDP)	-0.90	-1.50	n.a.	-1.90
Fiscal Balance (% to GDP)	-2.29	-2.85	-2.53	-2.90
BI7DRRR (%)	6.00	4.50	n.a.	4.00
10Y. Government Bond Yield (%)	7.00	6.28	7.00	6.55
Exchange Rate (USD/IDR)	16,162	16,750	16,000	16,850

SWOT Analysis: 2026 Outlook

Strength Resilient FY25F GDP growth of 5.01% driven by government spending focusing on middle-class empowerment such as free meals program and social assistance; on investment, Danantara’s establishment is expected to mobilize capital, attract FDI, and accelerate economic growth	Weakness Weak IDR (2025F: 16,750/USD) to cause softer purchasing power while lower commodity prices may hurt farmer incomes; twin deficit issues from CA (1.5%) on slower exports as well as the fiscal side (2.85%) due to bloated government spending and tax revenue shortfall
Opportunity Trade diversification and new investment opportunities from BRICS, enhanced by political stability on the back of Prabowo’s big party coalitions; Engagement in regional trade agreements as well as partnerships can enhance market access and minimize Trump’s tariffs	Threat Possible tax amnesty part III & slower economic growth may cause greater tax revenue shortfall; additional coal and gold taxations could pressure commodity margins and weaken export competitiveness; and online gambling to continue eroding purchasing power

USD/IDR Currency



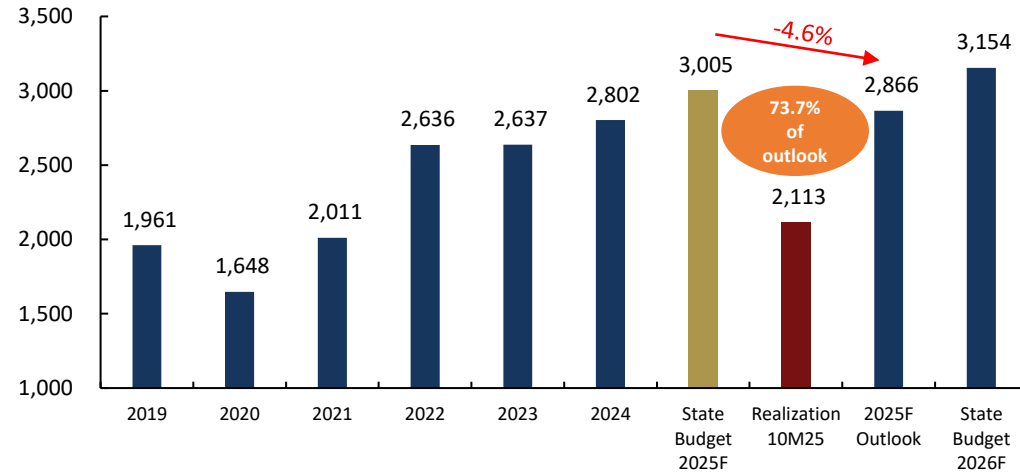
2026 Sector Analysis

Thriving - Poultry - Consumer (Defensives) - Retail (Food) - CPO	Declining - Technology - Cement - Infrastructure / Toll Roads
Emerging - Banking - Telco - Tower - Healthcare	Marginalized - Automotive - Property - Media - Retail Non-Food - Coal - Metal Mining - Oil & Gas - Renewables

Deficits and Spending

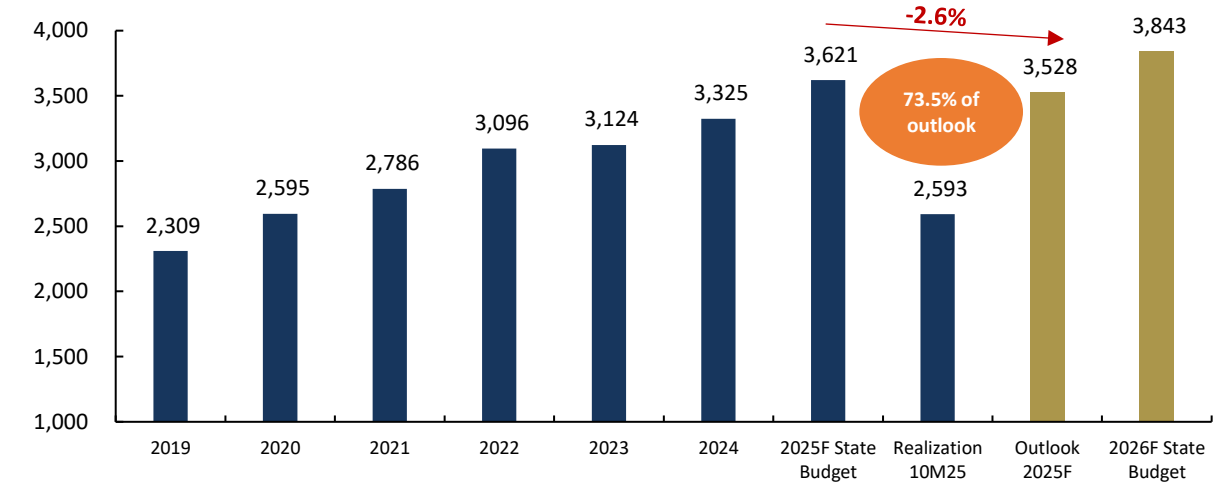
State Revenues, 2019 – 2026F

(IDR Tn)



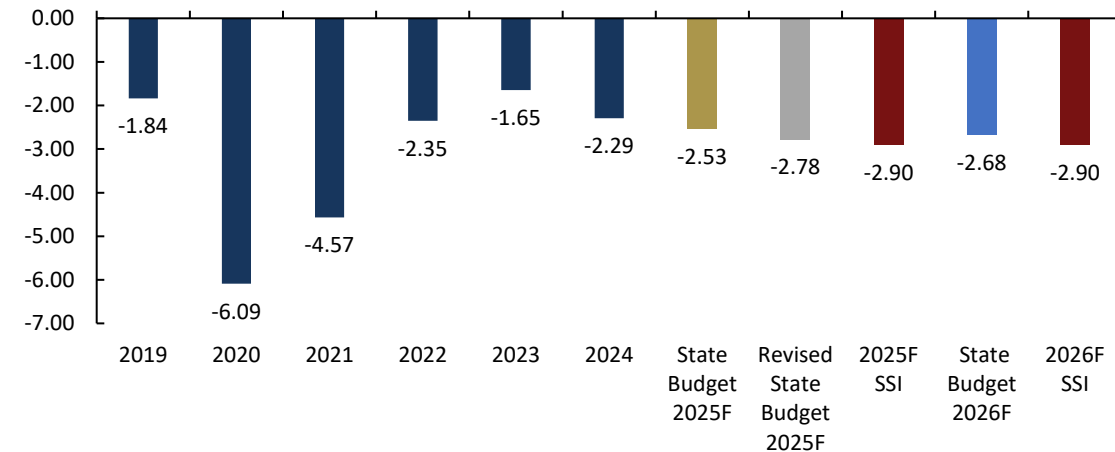
Budget Spending, 2019 – 2026F

(IDR Tn)

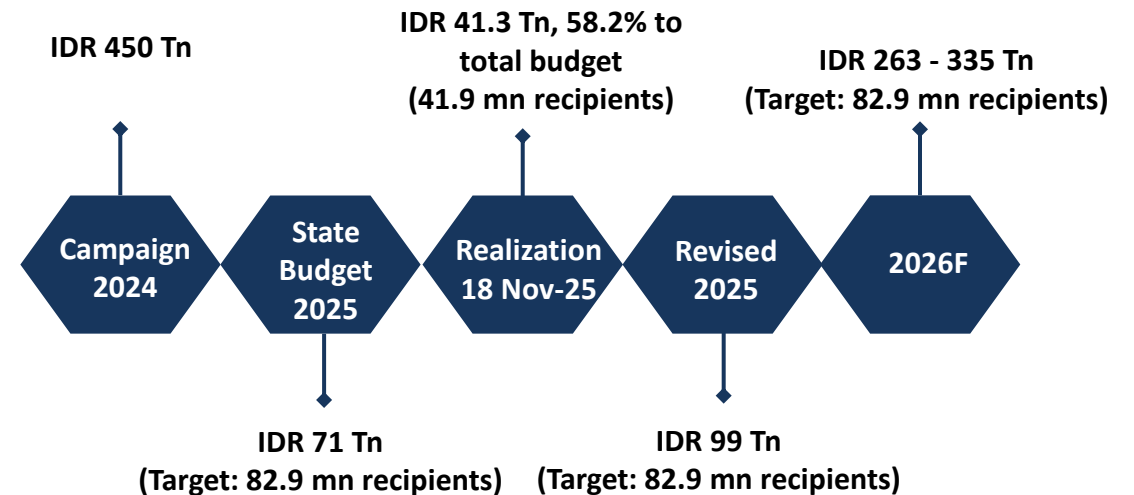


Budget Deficit, 2019 – 2026F

(% to GDP)



Free Meals Program Budget



Sumatra Flood Disaster: Economic Impact & Recovery Plan

Economic Impact

Category	Lower Est.	Upper Est.
Infrastructure Damages (IDR Tn)	15.2	20.8
Production Losses (IDR Tn)	9.5	11.4
Household Costs (IDR Tn)	4.1	4.9
TOTAL (IDR Tn)	28.8	37.1

Macroeconomic Impact

Indicator	Peak Impact (%)	Timing (Months)	Recovery Period (Months)
GDP Growth	-2.5 to -0.8	2 – 4	12 – 18
Inflation	+1.2 to +0.3	3 – 5	8 – 12
Unemployment	+3.5 to +1.2	immediate	24 – 36
Investments	-4.0 to -1.3	immediate	14 – 20



Sources: SSI Research

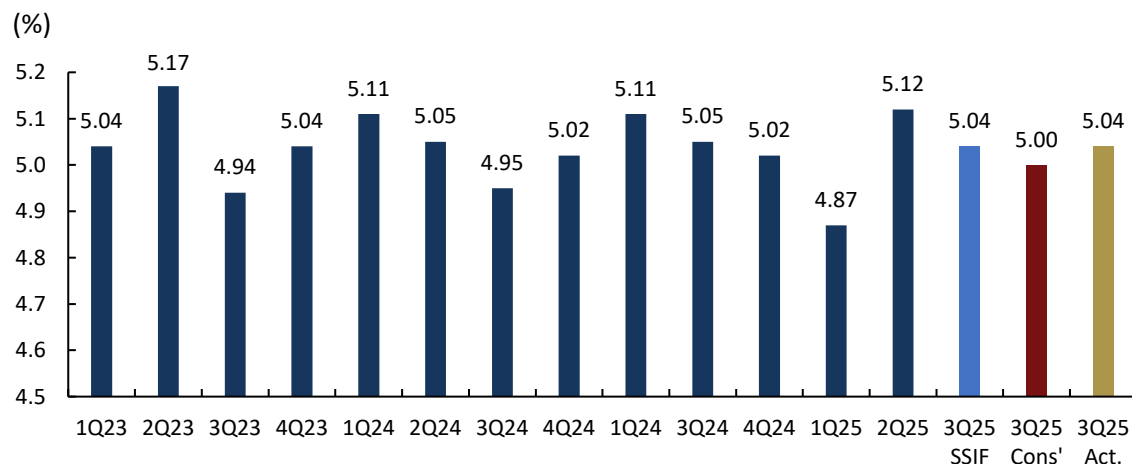
Recovery Fund

Component	Allocation (IDR Tn)	%	Aid Target
Emergency cash transfer	6.8	13	320K poverty prevention
Wage subsidies	5.2	10	110K jobless
Infrastructure reconstruction	22.5	43	Connectivity restoration, 1.8x multiplier
MSME credit facility	5.5	11	Support for 25K businesses
Social protection	4.0	8	Healthcare, education, psychosocial rehab
Agriculture recovery	3.0	6	85K farm households
Disaster risk reduction	4.0	8	Early warning & resilient infrastructure systems
Total package (from State Budget)	51.0	100	Full economic recovery in 18 – 20 months

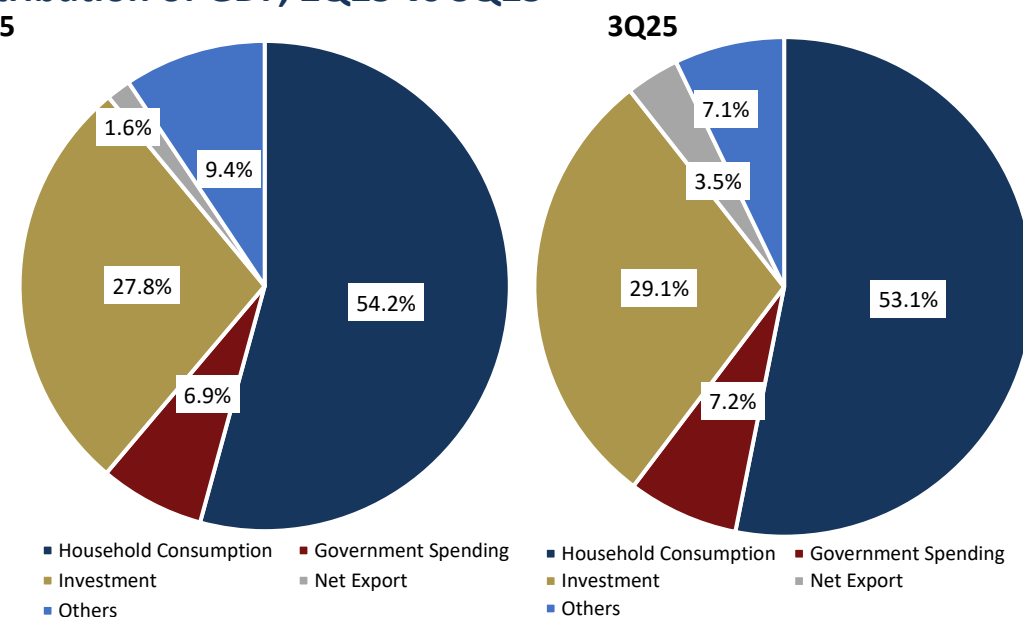
Gross Domestic Product 3Q25

- Indonesia's economy expanded by 5.04% YoY in 3Q25, coming in exactly in line with SSI Research's forecast of 5.04%, while slightly exceeding market expectations of around 5.0%. The outcome represented modest easing from 5.12% growth in 2Q, which had been the strongest pace since 2Q23. The 3Q performance suggests that Indonesia's growth momentum remains resilient, although moderating gradually in response to softer domestic demand conditions and evolving external headwinds.
- The deceleration in headline growth was driven primarily by easing fixed investment, which slowed to 5.04% from 6.99% in 2Q, as businesses adopted more cautious stance amid tighter financial conditions and global uncertainties. Private consumption, which accounts for more than half of GDP, also moderated to 4.89% from 4.97%, reflecting the lagged impact of inflation on household purchasing power. On the external side, export growth eased to 9.91% from 10.95%, partly due to the impact of recently implemented U.S. tariffs on Indonesian goods. Meanwhile, imports rose just 1.18%, sharply down from 11.48% in 2Q, as a weaker IDR and softer domestic demand reduced appetite. The contraction in imports, however, helped support the overall contribution of net exports to headline growth.
- In contrast, government spending rebounded strongly, growing 5.49% after contracting in 2Q, reflecting improved budget execution and fiscal support aimed at sustaining momentum in priority programs. This fiscal rebound helped cushion moderation in private sector activity and underpinned the broader resilience of the economic expansion.
- Looking forward, we expect Indonesia's growth trend to remain steady but not significantly accelerate in the near term. Global demand uncertainties, tariff-related pressures, and geopolitical risks may continue to weigh on export performance. Domestically, the recovery trajectory will depend on further improvements in real household incomes, targeted fiscal measures, and the pace of credit expansion to productive sectors. With the 3Q outcome precisely matching our expectation, SSI maintains its full-year growth outlook at 5.01%, reflecting an economy that remains stable, supported by fiscal policy, but still navigating a challenging global environment. As strategic investments in downstream industries, energy transition infrastructure, and digital ecosystems continue to unfold, we see increasing potential for stronger and more broad-based growth going into 2026.

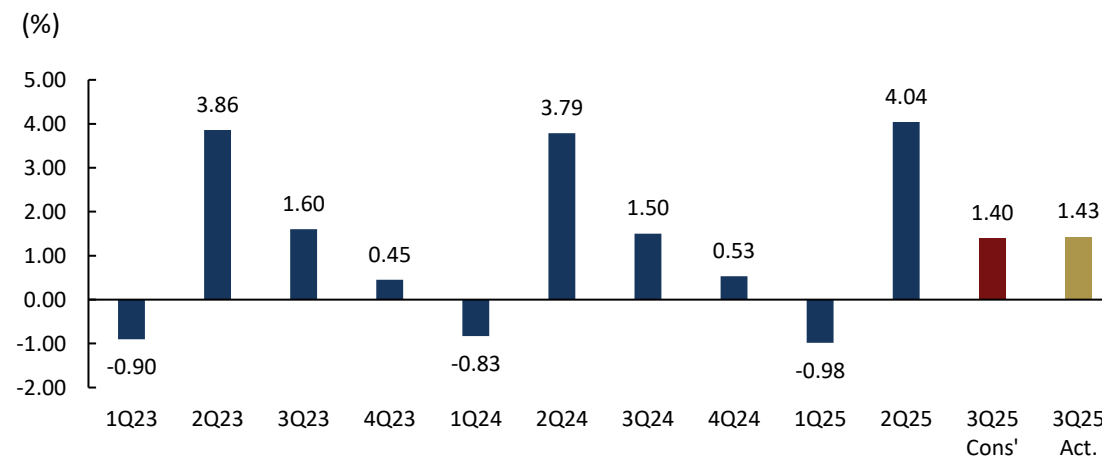
Indonesia's GDP Growth (YoY)



Distribution of GDP, 2Q25 vs 3Q25

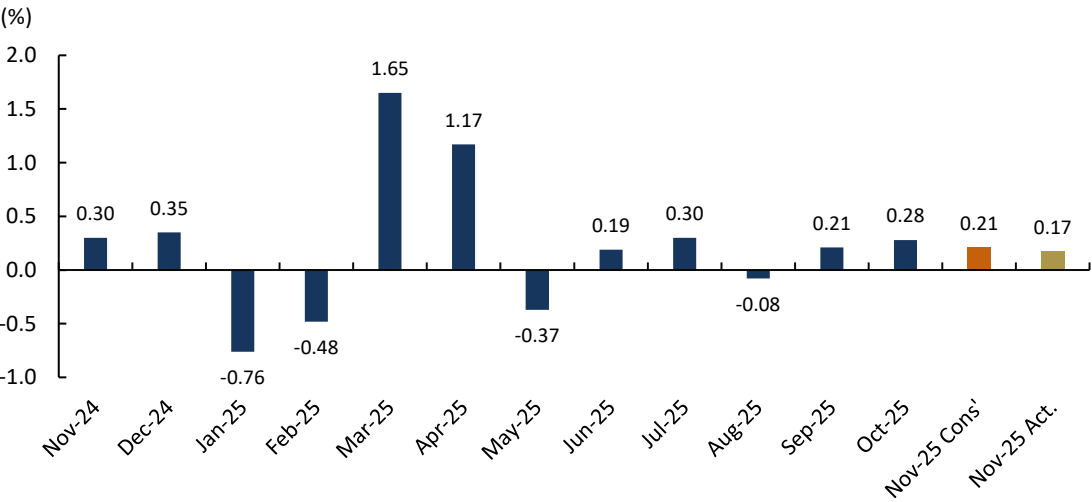


Indonesia's GDP Growth (QoQ)



- Indonesia’s headline inflation eased to 2.72% YoY in Nov-25, down from 2.86% MoM and still comfortably within BI’s 1.5%–3.5% target range. The reading undershot expectations, below SSI’s forecast of 2.92% and market consensus of 2.75%, reflecting softer price pressures after the recent upward spike. The primary drag came from easing food inflation (4.25% vs 4.99% in October), supported by improving harvest flow and stabilization in distribution costs. Housing, accommodation, and restaurant inflation also slowed marginally, contributing to more temperate headline profile. Monthly momentum eased to 0.17% MoM, marking the mildest increase in 3M and signalling more controlled price environment as supply-side bottlenecks gradually ease.
- The composition of inflation, however, reveals a more balanced but still evolving picture. Core inflation remained steady at 2.36% YoY—its second consecutive month at this level—indicating that underlying demand remains intact despite slowing headline momentum. Meanwhile, clothing, health, and transport inflation firmed slightly, hinting at selective demand recovery and cost pass-through in non-food categories. Communication costs continued to decline (-0.25%), providing a counterweight to price pressures and helping keep inflation anchored near the lower mid-range of BI’s band.
- Looking deeper, the stability in core inflation suggests household consumption remains resilient, avoiding sharp demand slowdown despite softer headline readings. The rise in transport costs—likely reflecting gradual recovery in mobility and logistics activities—alongside faster health-sector inflation, may indicate nascent upward pressures that could re-emerge if energy or service-sector pricing accelerates. At the same time, modest increases in clothing and furnishings point to a consumption recovery that is measured, not overstretched, aligning with broader macro signals of steady but unspectacular domestic demand expansion. The basket structure, therefore, reveals disinflation without demand stagnation—a favorable position in the current cycle.
- From policy perspective, November result improves near-term inflation narrative, helping reduce volatility risks following previous months’ upward drift. The softer monthly print suggests easing pass-through from commodity and FX fluctuations, while stable core inflation reduces pressure on BI to tighten. Still, persistence of elevated health inflation and gradual transport cost recovery warrants monitoring, particularly as holiday consumption, year-end spending, and potential adjustments in administered pricing could add cyclical upside.
- We expect inflation to remain well-anchored heading into year-end, with headline readings likely to track within—or potentially slightly below—the mid-point of BI’s target range barring major food or fuel shocks. Risks remain two-sided: upside from seasonal demand and healthcare inflation persistence, and downside from improved harvest supply and strong policy coordination on food stabilization.

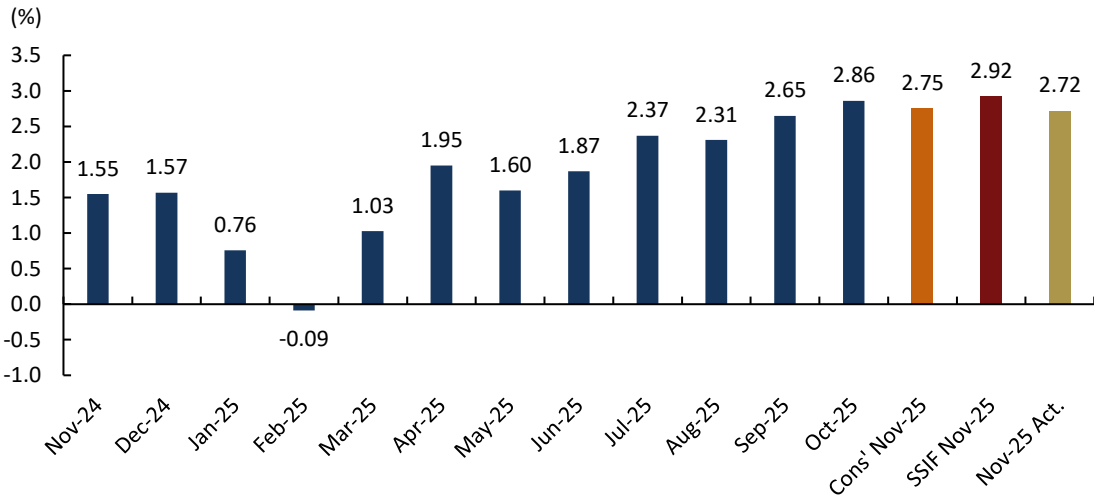
Inflation MoM



Inflation Based on Spending Category YoY

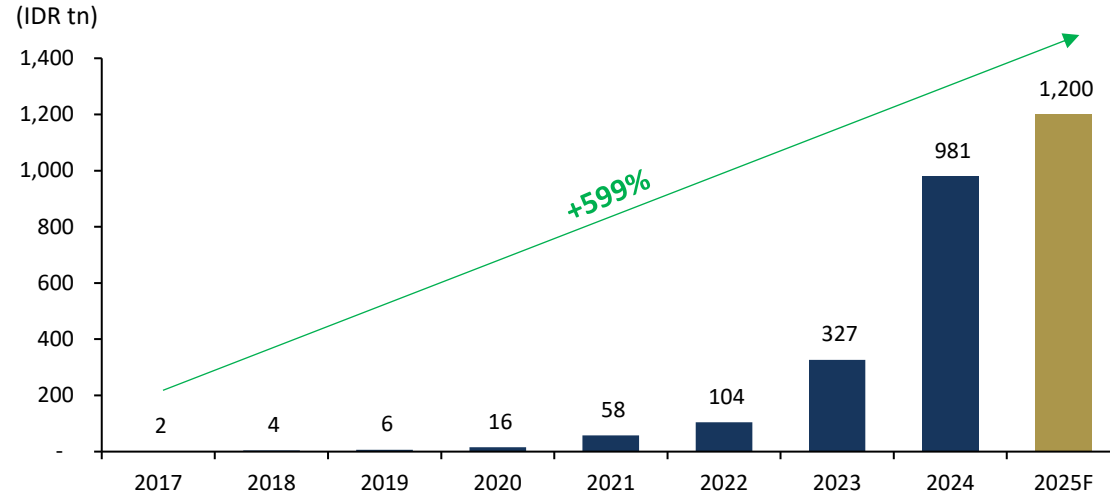
Number	Details	Inflation	Contribution to Inflation
	Headline Inflation	2.72	2.72
1	Food, Beverages and Tobacco	4.25	1.22
2	Personal care and other services	12.49	0.82
3	Housing, water, electricity and household fuels	1.57	0.25
4	Food beverages services/restaurants	1.50	0.15
5	Transportation	0.71	0.09
6	Education services	1.26	0.07
7	Health	2.09	0.06
8	Clothing and Footwear	0.76	0.04
9	Recreation, sport and culture	1.15	0.02
10	Furnishings, household equipment and routine household maintenance	0.23	0.01
11	Information, communication and financial services	-0.25	-0.01

Inflation YoY



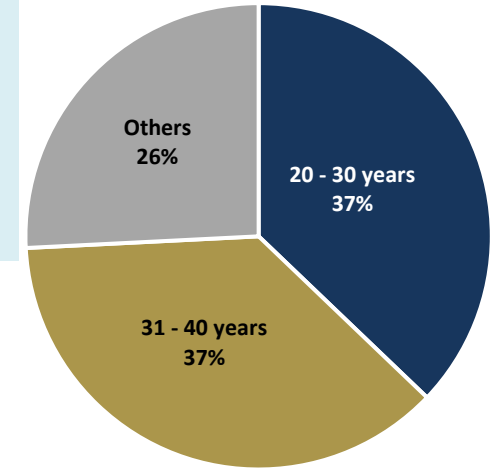
Erosion in Mid-Low Class' Incomes

Online Gambling Transaction Values

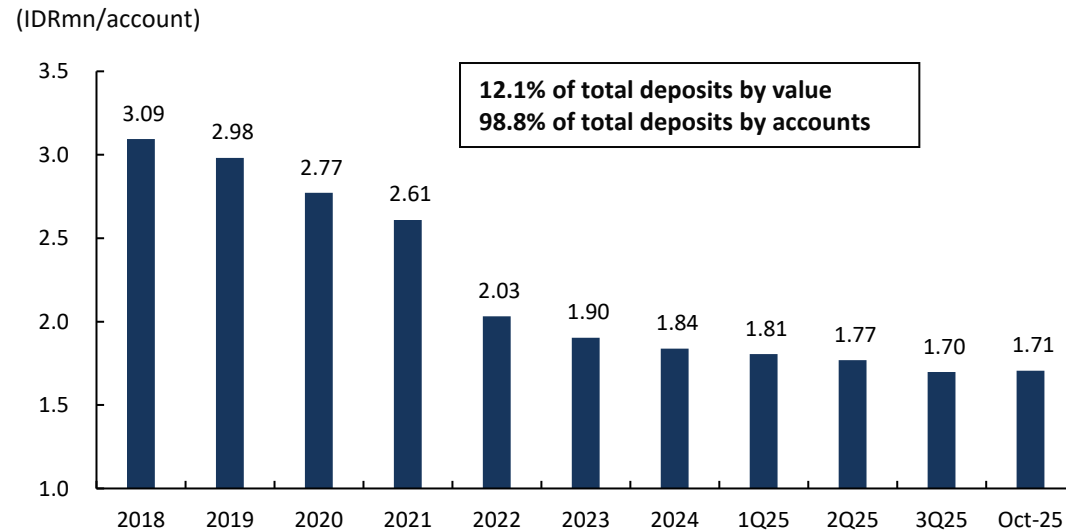


Profile of Online Gambling Players, 1Q25

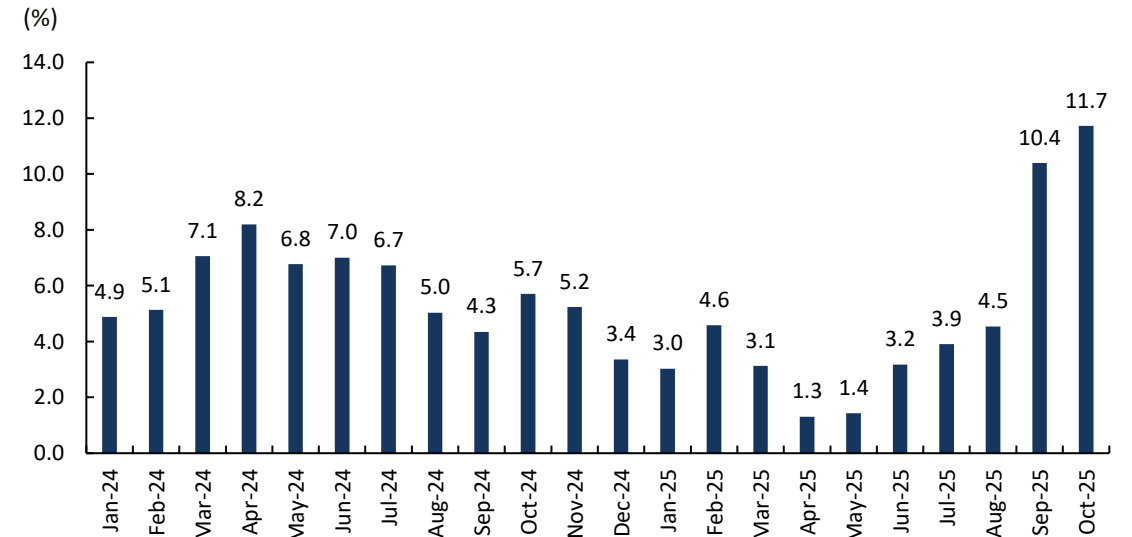
- Total players: 1,066,000
- 71% of online gamblers: income below IDR 5 mn per month
- Total deposits in online gambling: IDR 6.2 tn



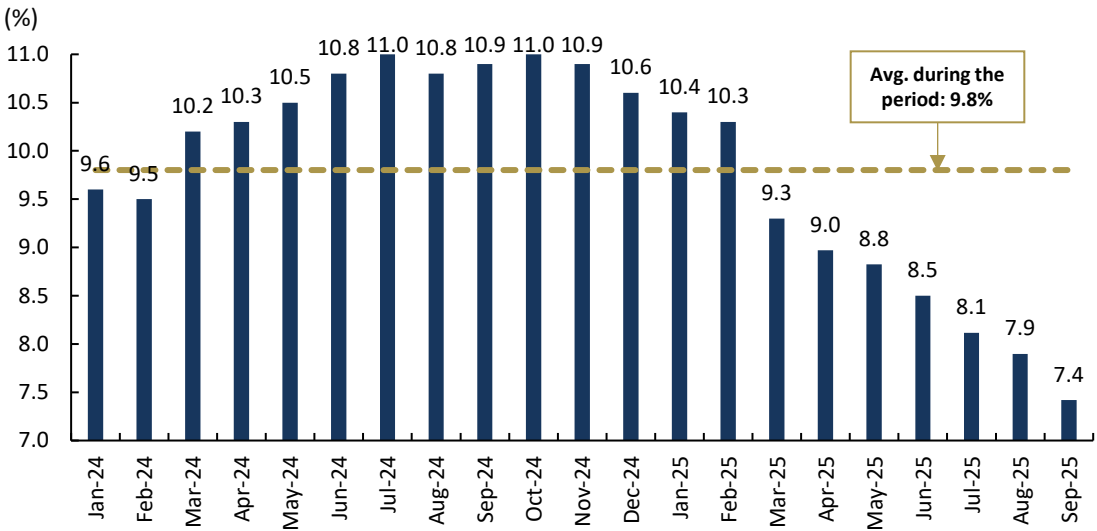
Average Deposit of <IDR100mn Accounts



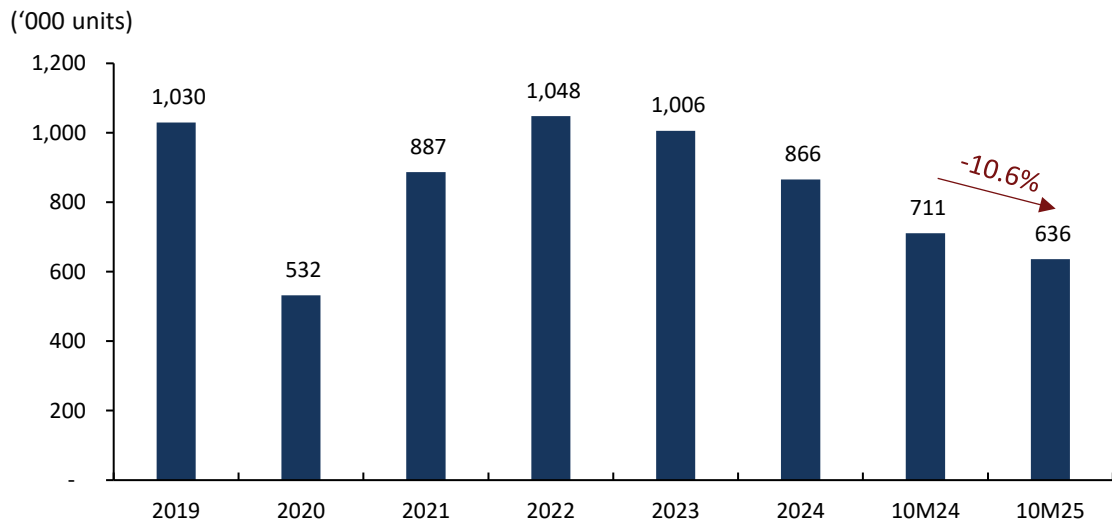
Growth/Contraction of Indonesia's Total Deposits



Consumer Credit Growth

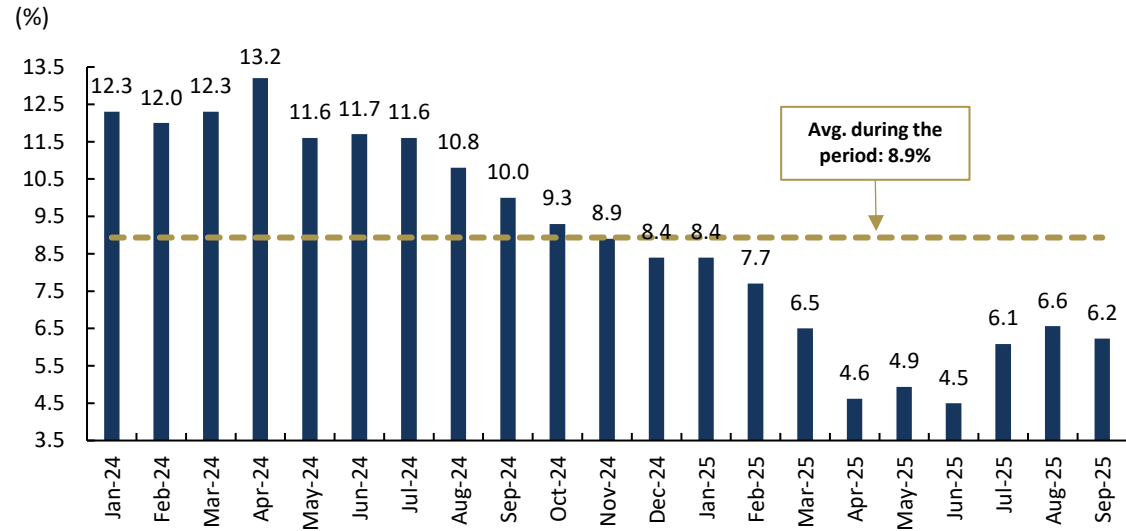


Car Sales, 2019 – 10M25

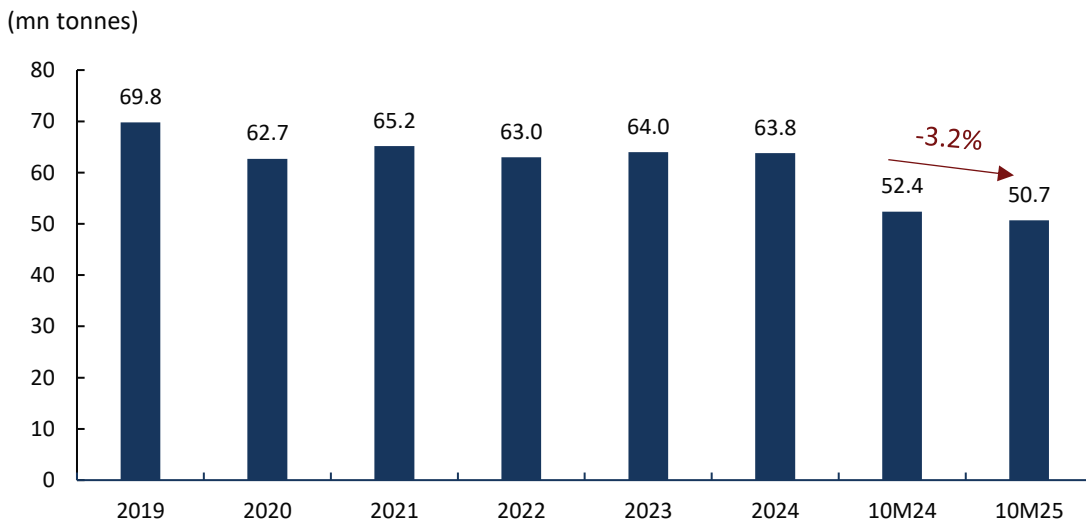


Sources: Bloomberg, Gaikindo, Indocement, SSI Research

Working Capital Credit Growth



Cement Sales, 2019 - 10M25

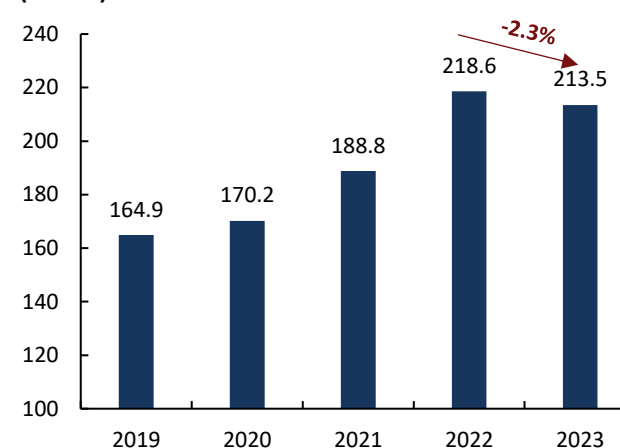


The Rise in Downtrading for Indonesia's Consumers

- On the back of weak purchasing power, Indonesia's middle-class consumers are downtrading. Testimony to this, is the drop in the government's receipt from cigarette excise tax by -2.3% YoY in 2023 to IDR 213.5 trillion. We believe smokers are moving to cheaper illegal cigarettes with an average price of IDR 12,000/ pack, more than half the price of legal (excise paying) cigarettes at IDR 30,000/ pack.
- Used car sales also increased from 2.4k units in 9M24 to 3.0k in 9M25, up 26.3% YoY, reflecting downtrading from new cars to used vehicles.
- Furthermore, Indonesia's 2W market in 10M25 also increased slightly to 5.4 million units (+0.4% YoY), potentially translating to car buyers downtrading to motorcycle users.

Excise Tax, 2019 – 23

(IDR Tn)

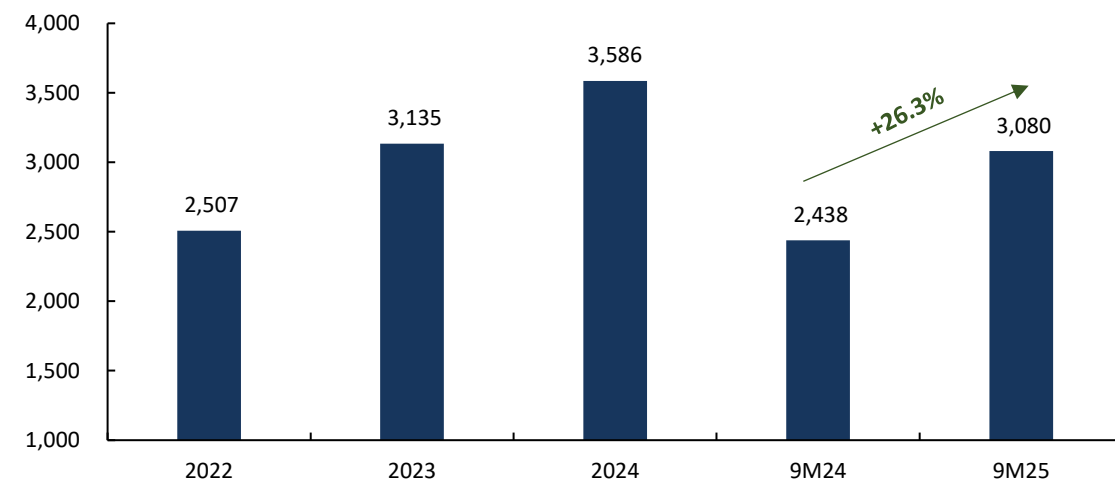


Illegal Cigarettes



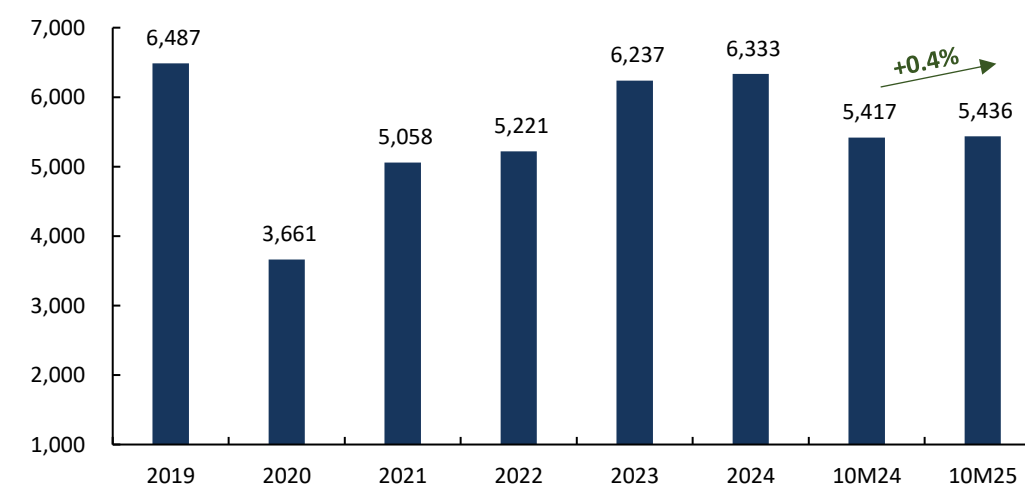
Used Car Sales, 2019 – 9M25

('000)



2W Sales, 2019 – 10M25

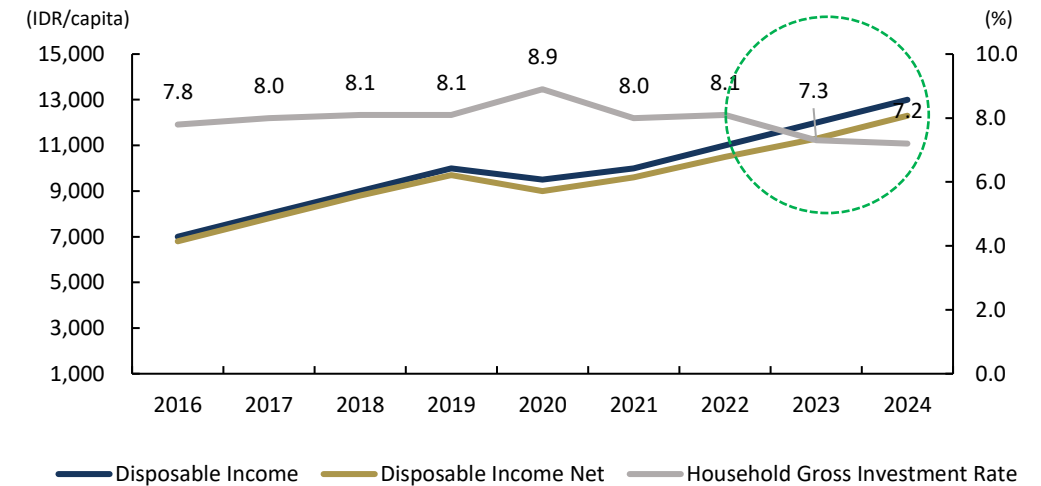
('000)



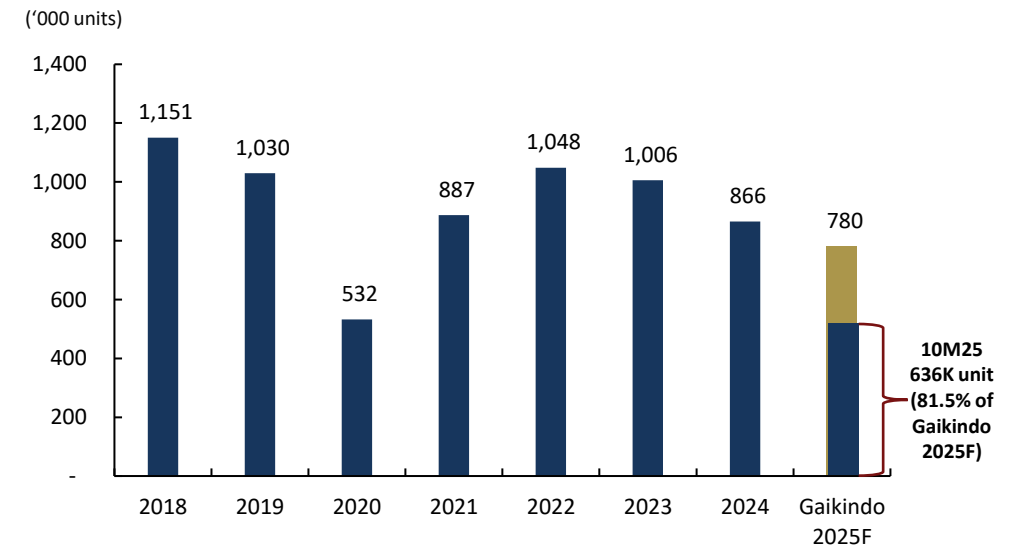
Subsidies: Need to Aim Higher

Sector	Program
Energy	Electricity Subsidy (450 – 900 VA, small businesses, social group)
	Fuel Subsidy (Solar / designated subsidized fuels)
	3-kg LPG Subsidy
	Energy Compensation (Electricity & Fuel)
Agriculture	Fertilizer Subsidy (Urea, NPK, Organic, ZA)
	2025 Fertilizer HET (Capped Subsidized Prices)
Social Assistance	PKH – Family Hope Program (~10 million beneficiary families)
	Food Assistance (Rice + Cooking Oil) - 8.27 million beneficiary families
	BSU – Wage Subsidy Assistance (6–8 million workers (BPJS Ketenagakerjaan participants)
Economic Stimulus	Economic Stimulus (Transport, Toll Road, & Electricity Discounts)
Housing	Subsidized Housing – KPR FLPP (~220,000 low-income households (MBR))

Household Purchasing Power



Car Sales, 2019 – 10M25



Building Tomorrow: Indonesia's 8+4+5 Blueprint for Economic Support

8 Economic Package Programs: Acceleration of the 2025 Program: IDR 16.23 Tn

Program	Beneficiaries	Estimated Budget (IDR)	Year	Program	Beneficiaries	Estimated Budget (IDR)	Year
Graduate internship program (max 1 year)	20K recipients	198 Bn	2025 & 2026	Additional BPJS Benefits Program (MLT)	1K units	150 Bn	2025
Extended PPh 21 DTP (tourism sector workers)	552K workers	120 Bn	2025 & 2026	Cash for work program	609.5K workers	7.11 Tn	2025
Food Assistance (monthly)	18.3 Mn households	7 Tn	2025	Deregulation acceleration PP28	Public	175 Bn	2025 - 2026
JKK & JKM Benefits for non-wage workers	731.4K workers	36 Bn	2025	Infrastructure Pilot Program (DKI Jakarta)	DKI Jakarta residents	5.7 Tn	2025

4 Economic Package Programs: Continued in 2026

Program	Explanation	Budget (IDR)
Extension of 0.5% final income tax for MSME	Extended until 2029 to ease tax administration	2 Tn
Extension of article 21 DTP for tourism sector	For workers earning < IDR 10 Mn/month	480 Bn
Article DTP for manufacturing sector workers	Including workers in textiles, footwear & leather industries	800 Bn
Discount for non-wage workers (BPU)	For non-wage workers like farmers and fishermen	753 Bn

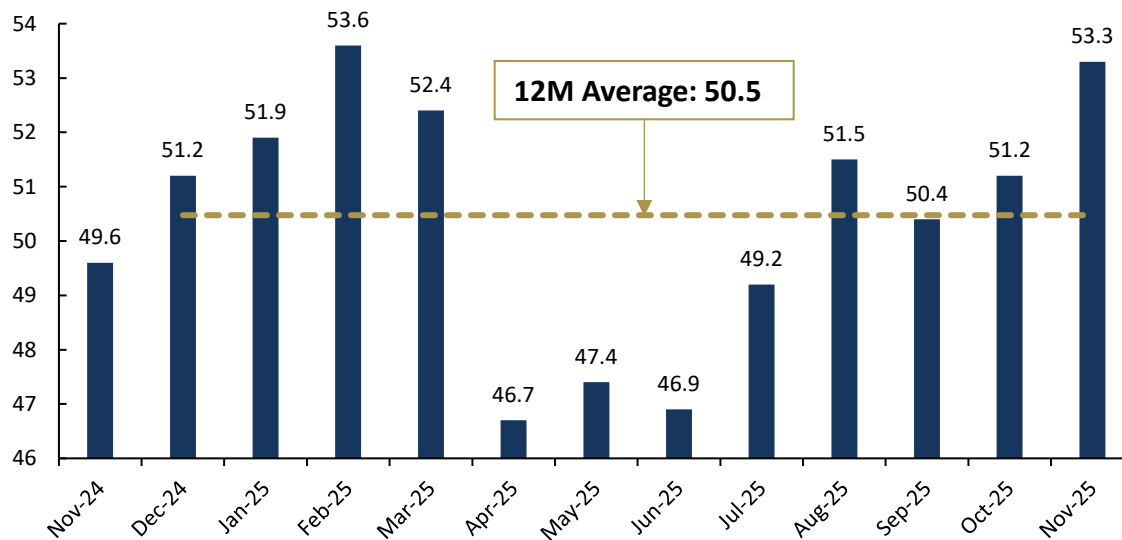
5 Economic Package Program: Labor Force Absorption

Program	Est. Job Creation	Ministry
80K Red & White Village Cooperative	681 K – 1.4 Mn people	Food
Red & White Fishermen Village (KNMP)	8.6 – 200 K jobs	KKP
Coastal pond revitalization	168 K jobs	KKP
Modernization of fishing ships	200 K jobs	KKP
People plantation development	1.6 Mn Jobs	Agriculture

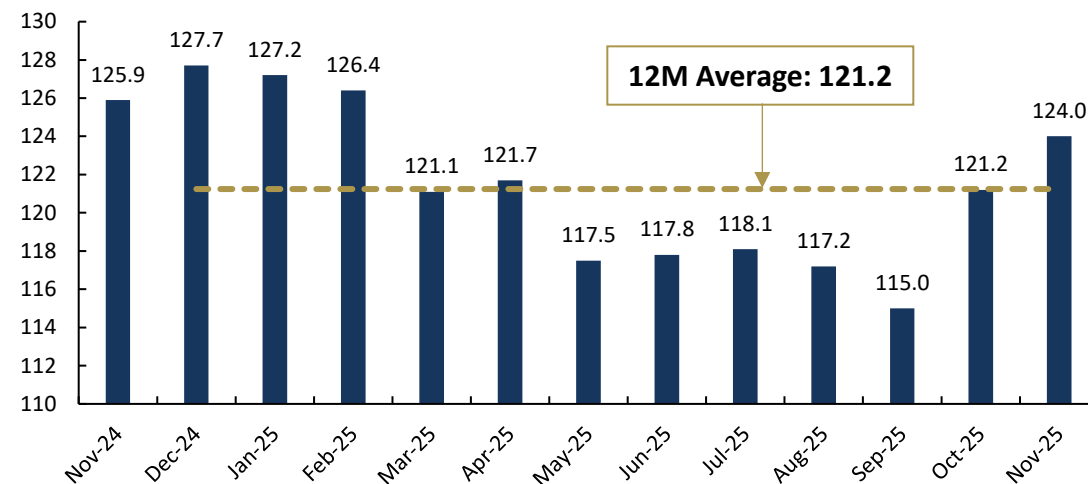
Indonesia Consumer Confidence Index

- Indonesia's consumer confidence strengthened further in Nov-25, rising to 124.0 from 121.2 in October, marking the highest level since February and underscoring the continued resilience of household sentiment despite a still-uneven domestic recovery. The improvement was broad-based across all six sub-indices, signaling that consumers are becoming more optimistic not only about current conditions but also the trajectory of the economy in the months ahead. The economic outlook index climbed 3.2 pts to 136.6, reflecting firmer expectations of growth momentum, while perceptions of job availability compared to six months ago rose to 103.7. Assessments of current economic conditions also strengthened, gaining 2.4 pts to 111.5, accompanied by notable rise in current income perceptions, which jumped 4.4 pts to 121.5—the strongest reading in several months and an encouraging sign for near-term consumption support.
- Forward-looking indicators also improved meaningfully. Income expectations for the next six months increased to 140.6, reaffirming households' confidence in future earnings stability amid easing inflation and continued fiscal support. The durable goods purchasing index rose to 109.4, suggesting a gradual return of appetite for discretionary spending as financial pressures moderate. At the same time, expectations for job availability over the next 6M rose 3.3 pts to 135.3, indicating that labor-market sentiment is recovering more solidly, which could translate into stronger household consumption as we move into early 2026.
- The rebound in consumer confidence provides an important counterweight to lingering softness in certain segments of domestic demand and offers constructive signals for private consumption—still the backbone of Indonesia's growth trajectory. With inflation remaining contained, policy rates at accommodative levels, and targeted fiscal measures (including social assistance and sectoral support programs) still feeding through, household spending is likely to improve moderately in the coming quarters. Stronger confidence in job prospects and income growth could translate into firmer retail activity and higher demand for durable goods, particularly if labor-market gains hold.
- However, the outlook remains conditioned by macro risks: global financial volatility, renewed uncertainties in major export markets, geopolitical tensions, unfavorable government policies affecting flows and currency fluctuations that may adversely impact purchasing power. Still, the November reading suggests that consumer sentiment is on a firmer footing, supporting the view that Indonesia's domestic demand will gradually regain momentum and provide a steady anchor for overall GDP growth heading into 2026.

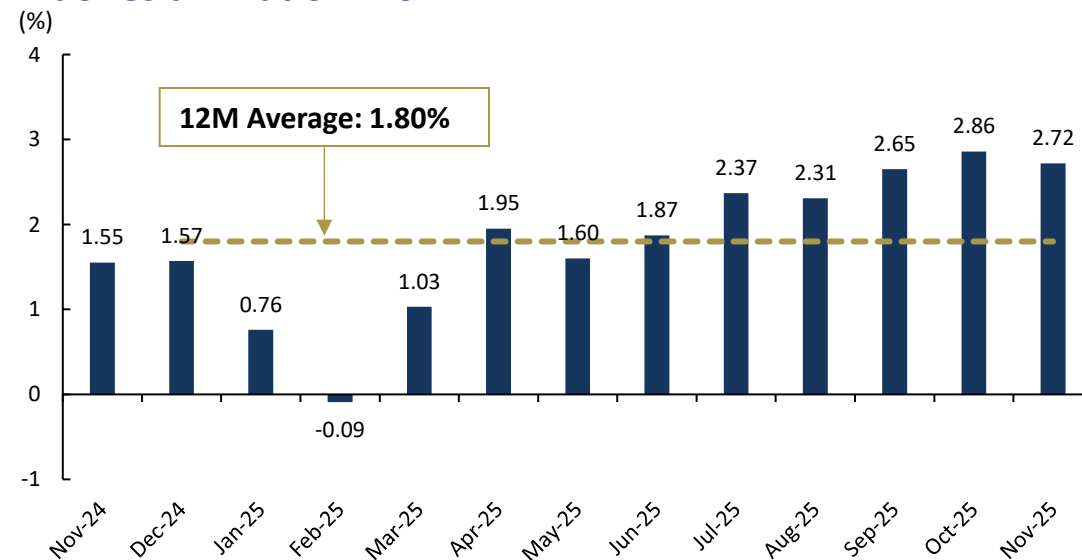
Indonesia Manufacturing PMI



Indonesia Consumer Confidence Index

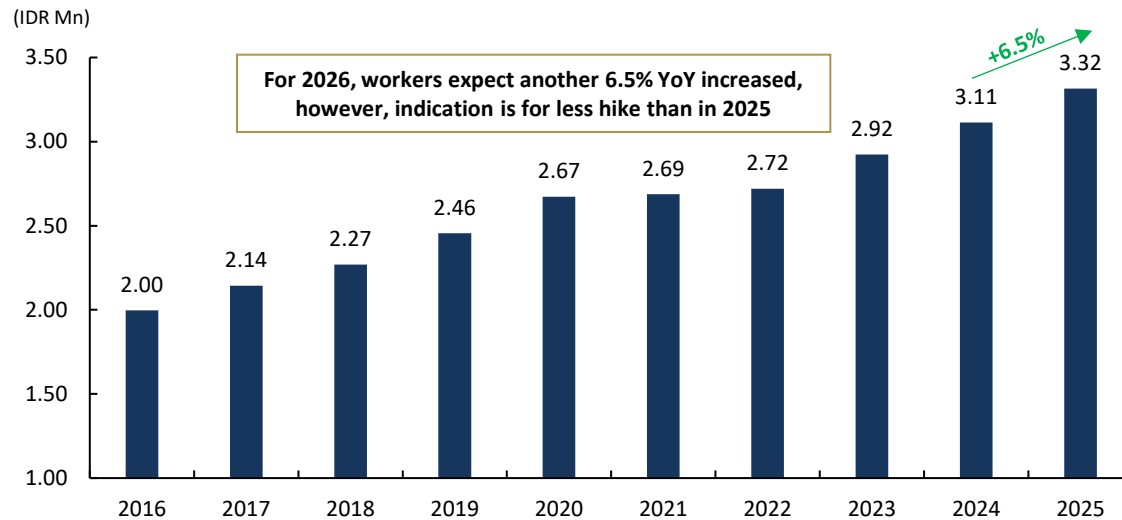


Indonesia Inflation Y-o-Y (%)

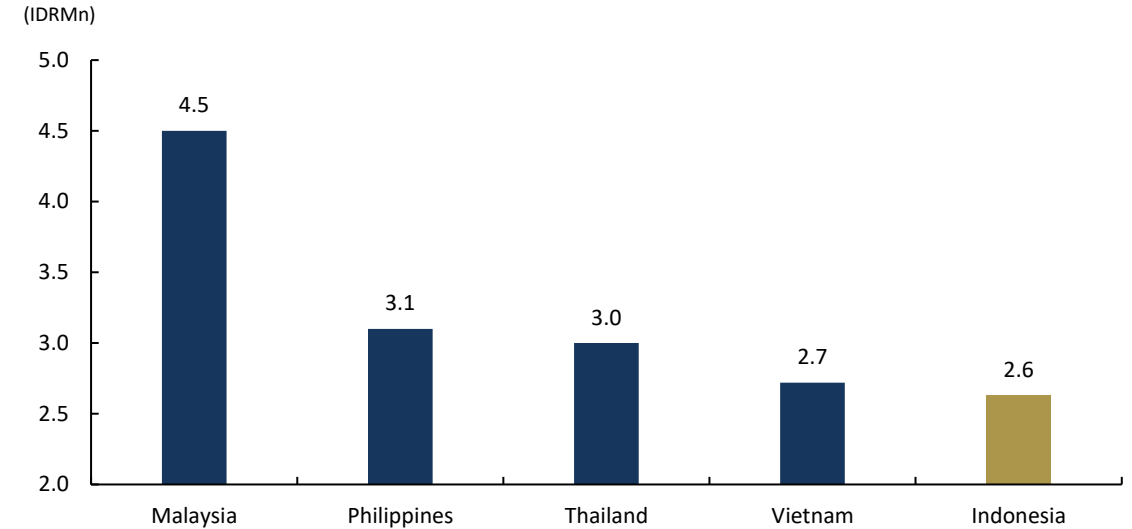


Minimum Wages

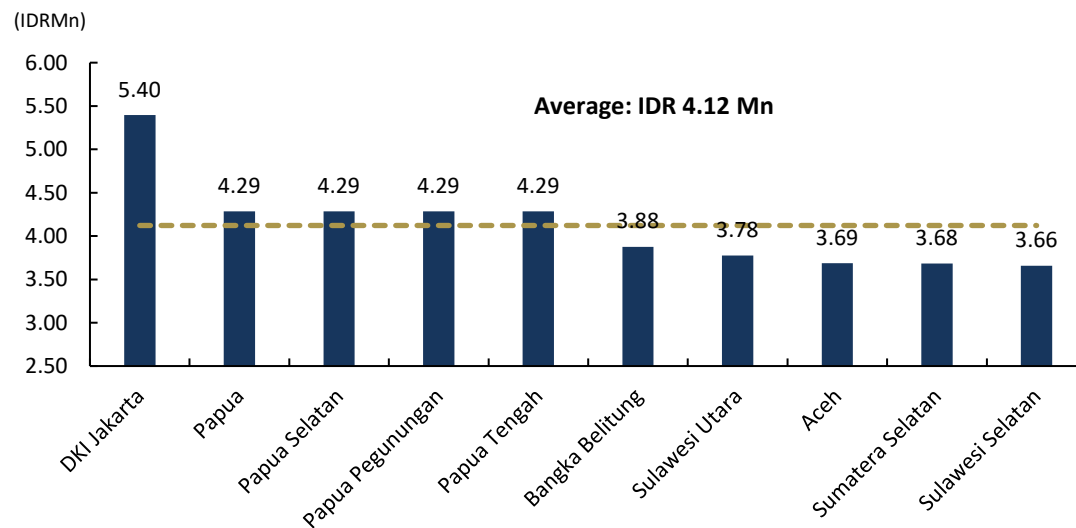
Minimum Wage in Indonesia, 2013 - 2025



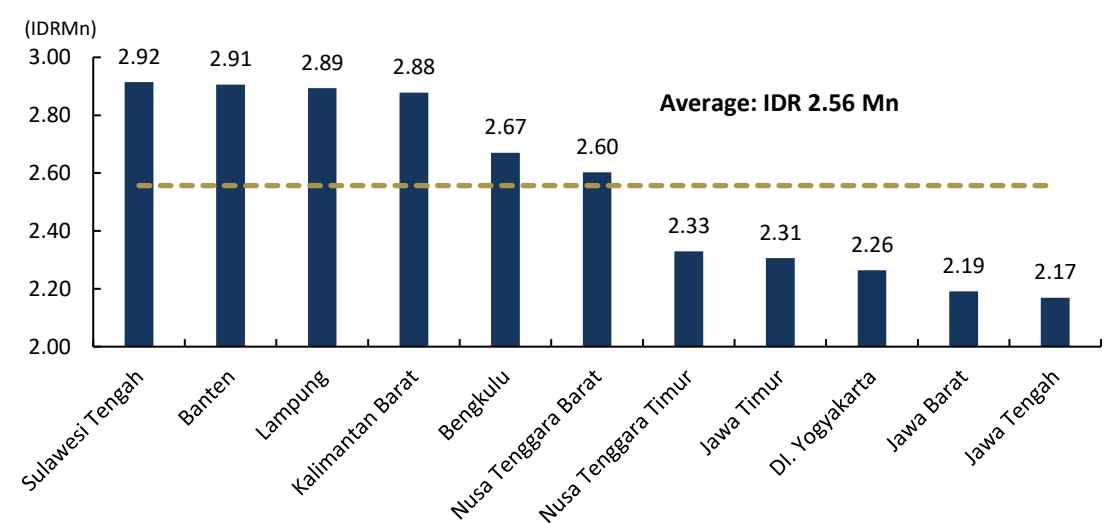
10 Year Average Minimum Wage in ASEAN



Top 10 Provinces with Highest Minimum Wages, 2025



Top 10 Provinces with Lowest Minimum Wages, 2025

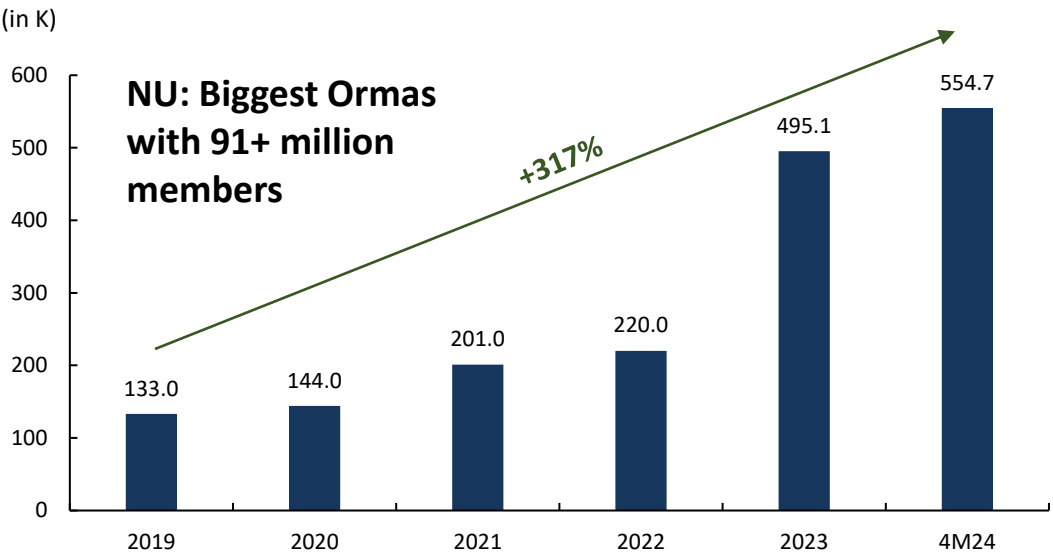


Are High Wages Driving Indonesia's Layoffs?

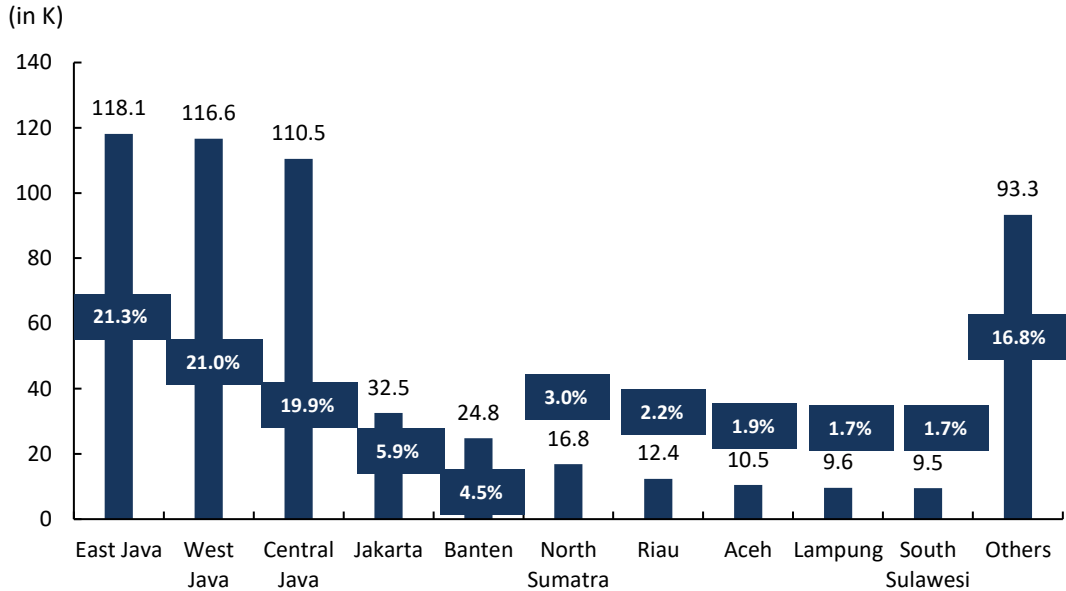
Regional Wages & Allowances	Indonesia	Vietnam	Thailand	Philippines
Avg Min. Wage/ Capital (mn)	IDR3.3 mn / IDR 5.4 mn	IDR2.7 mn / IDR3.2mn	IDR4.5 mn/ IDR4.7 mn	IDR3.3 Mn / IDR4.8 mn
Annual Leave	12 days	12 days	6 days	5 days
National Holiday	27 days	15 days	18 days	18 days
Maternity Leave	90 days	6 months	98 days	105 days
13 th month salary	Mandatory	Non-Mandatory	Non-Mandatory	Mandatory
Overtime – Working Day	Working day: 1.5x hourly wage for the 1 st hour, 2x for the second hours & so on	Working day: 150% of basic salary (daytime), 200% of basic salary (nighttime)	Working day: 1.5 * basic salary	Working day: 125% of basic salary
Overtime – Weekends/Public Holiday	Public holiday: 2x regular overtime rate	Weekend: 200% of basic salary; Public Holiday: 300% of basic salary	Weekends: 3 * basic salary	Weekends: 130% of basic salary
Severance pay	< 1 year: 1 month's wage 1 – 2 years: 2 month's wage 2 – 3 years: 3 month's wage 3 – 4 years: 4 month's wage 5 – 6 years: 6 month's wage 6 – 7 years: 7 month's wage 7 – 8 years: 8 month's wage > 8 year: 9 month's wage	½ of monthly salary per year of work	120 days – 1 year: 30 days' wage 1 – 3 year: 90 days wage 3 – 6 year: 180 days wage 6 – 10 year: 240 days wage > 10 year: 300 days wage	½ of monthly salary per year of work
Productivity (Electricity) 50,000 kWh (medium)	IDR51.8 mn (IDR1,035.78/ kWh)	IDR56.8 mn (IDR1,135/ kWh)	IDR49.3 mn (IDR986/kWh)	IDR89.2 mn (IDR1,738/ kWh)
Productivity (Electricity) 1,000,000 kWh (large)	IDR1.0 bn (IDR1,035.78/ kWh)	IDR1.1 bn (IDR1,077/ kWh)	IDR986 mn (IDR986/kWh)	IDR1.8 bn (IDR1,775/ kWh)
Productivity (Water) 47,719 m3/month	IDR599 mn	IDR459 mn	IDR393 mn	IDR831 mn

Indonesia Community Organizations (Ormas)

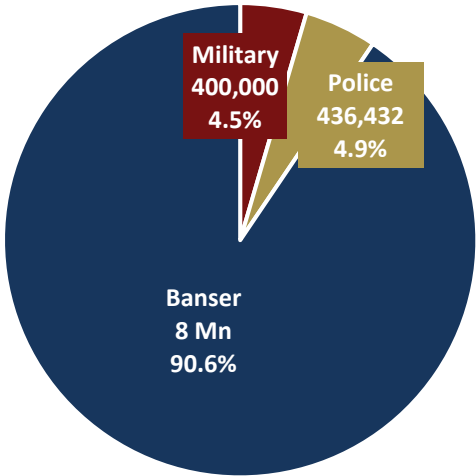
Number of Ormas, 2019 – 4M24



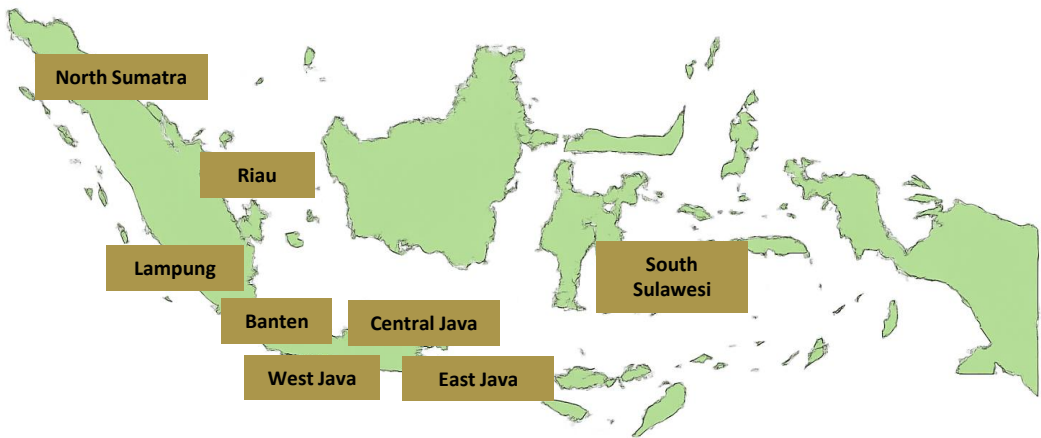
Ormas by Region



Number of Military – Police Personnel & NU Vanguard (Banser)



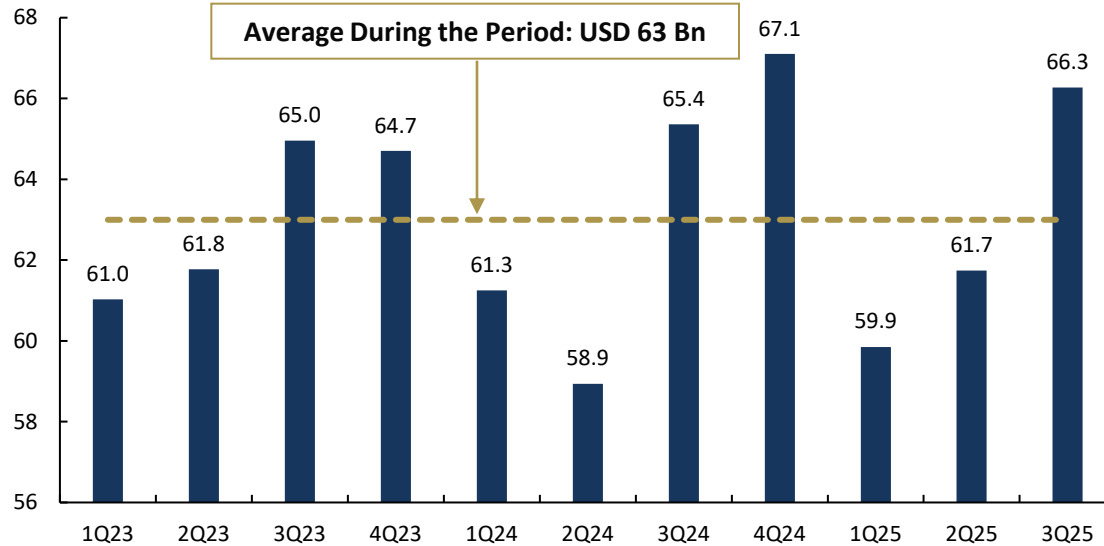
Industrial Areas in Indonesia



Weakening Investment Climate

Indonesia's Gross Fixed Capital Formation, 1Q23 – 3Q25

(USD Bn)



Foreign Investors: Cancelled Investments

Company	Country	Investment (USD Bn)	Date
LG Energy Solution	South Korea	7.7	April 2025
BASF	France & Germany	2.6	April 2025
CBL International Development	China	1.2	June 2024

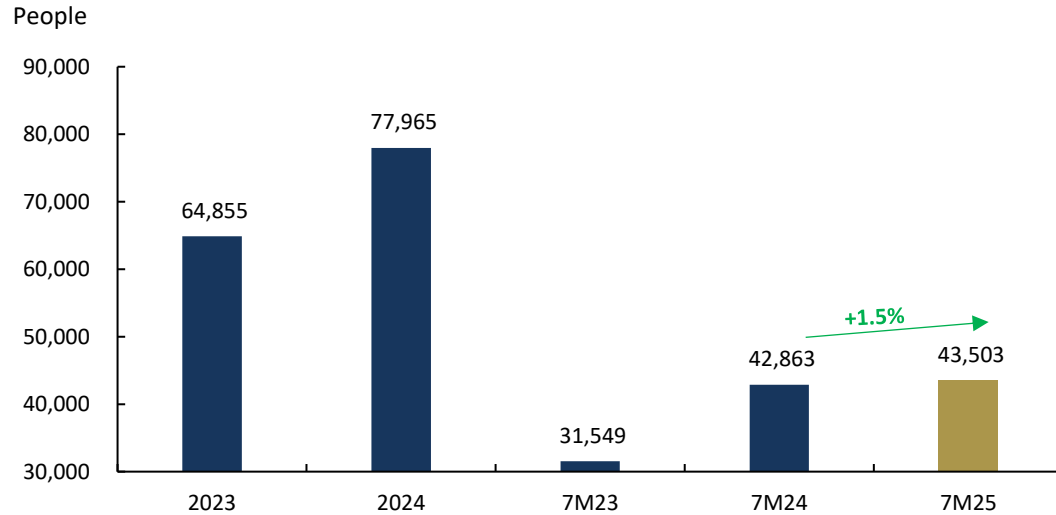
Companies Ceased from Doing Business

Company	Region	Date	Layoffs
Sritex	Solo	March 2025	10,669
Victory Ching Luh	Tangerang	March 2025	2,000
Adis Dimension Footwear	Tangerang	March 2025	1,500
Tokai Kagu Indonesia	Bekasi	March 2025	180

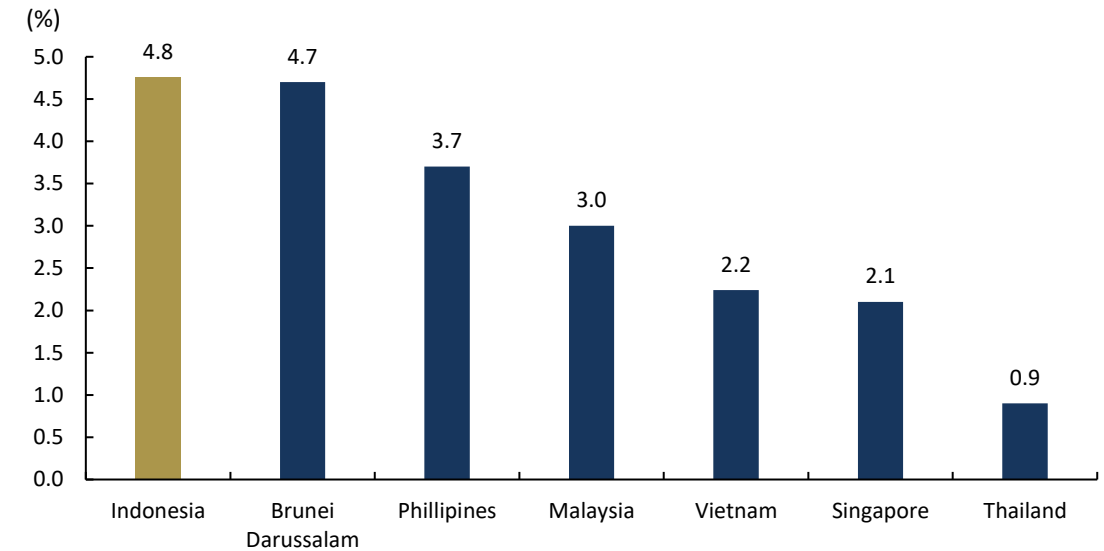
Foreign Companies Departed or will Close Down

Company	Country	Date	Layoffs
Yamaha Music Product Asia	Japan	March 2025	1,100
Sanken Indonesia	Japan	June 2025	459
Asian Paint	India	March 2025	n.a
Gunbuster Nickel Industry	China	TBA	Potentially 12K

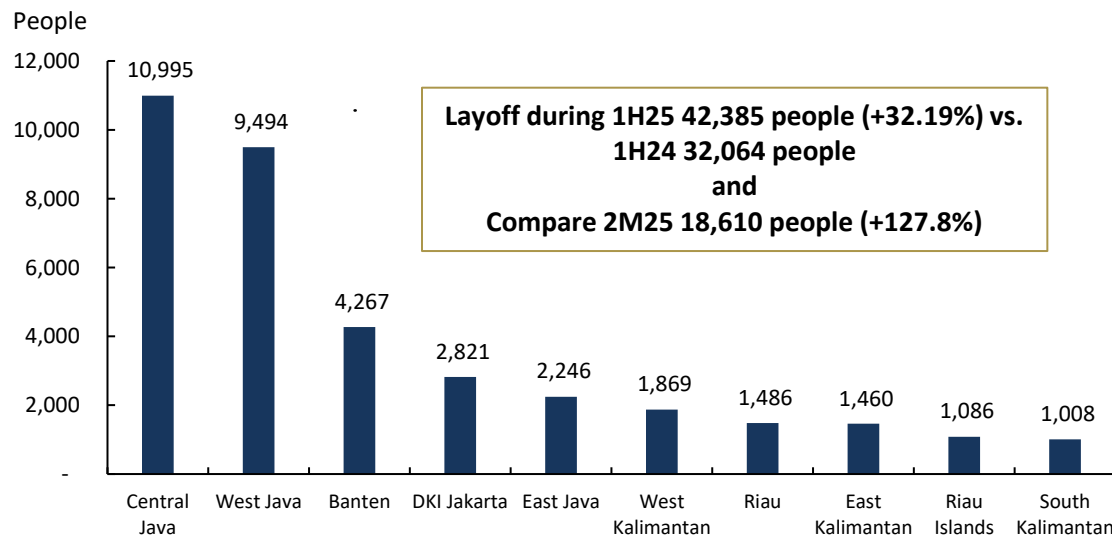
Indonesia's Total Layoff



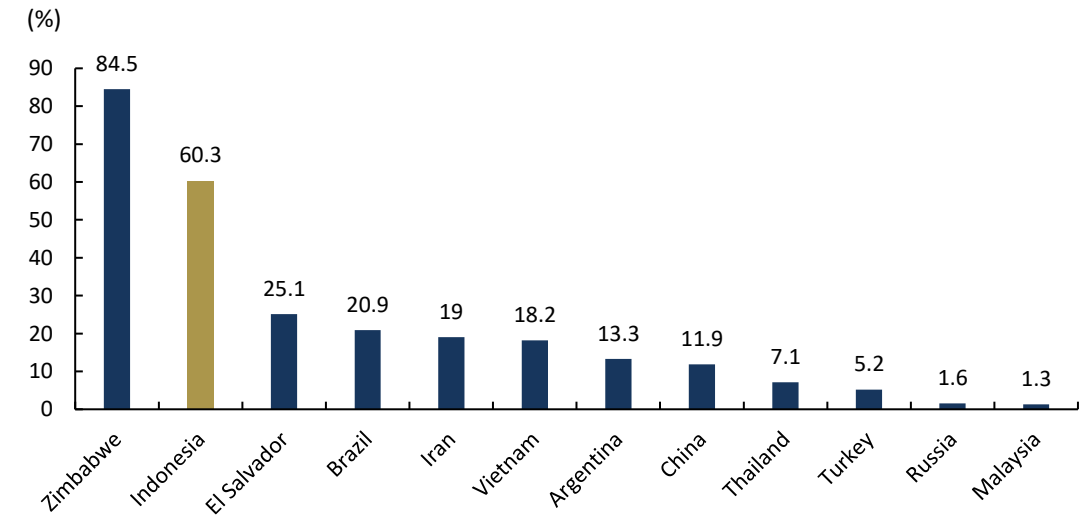
Unemployment Rate in ASEAN, 2025



Layoffs by Region During 1H25 vs 2M25



Poverty – World Bank

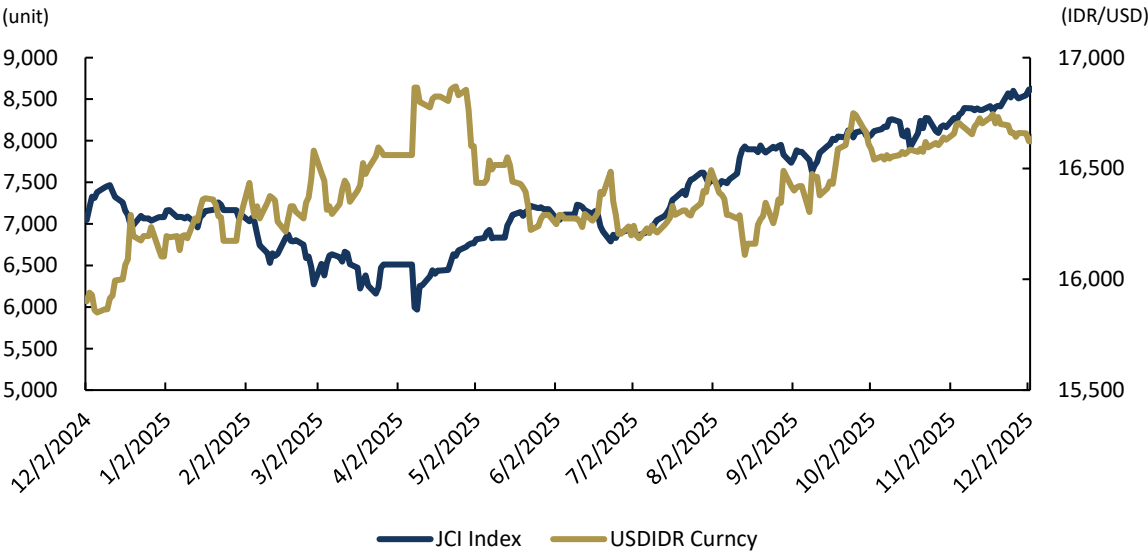


Movements of IDR and Other Currencies



South-East Asia	YTD	2024	2023	10Y CAGR	East Asia & Australasia	YTD	2024	2023	10Y CAGR	Developing Economies	YTD	2024	2023	10Y CAGR	Advanced Economies	YTD	2024	2023	10Y CAGR
MYR (Malaysia)	9.4	2.7	(4.1)	(1.6)	AUD (Australia)	7.4	(9.2)	(0.0)	(2.0)	COP (Columbia)	15.9	(12.5)	25.9	(4.6)	CHF (Swiss)	14.1	(7.3)	9.9	2.3
THB (Thailand)	8.1	0.1	1.4	0.4	TWD (Taiwan)	4.8	(6.3)	0.0	0.1	MXN (Mexico)	15.7	(18.5)	14.9	(2.0)	EUR (France)	13.4	(6.2)	3.1	(0.3)
SGD (Singapore)	5.8	(3.3)	1.5	0.3	CNH (China)	3.5	(2.7)	(2.8)	(1.3)	PLN (Polandia)	14.9	(4.7)	11.2	(0.1)	DEM (German)	13.4	(6.2)	3.1	(0.3)
LAK (Laos)	0.9	(5.8)	(15.7)	(9.4)	NZD (NZ)	3.4	(11.5)	(0.5)	(2.9)	BRL (Brazil)	14.0	(21.4)	8.7	(6.9)	DKK (Denmark)	13.2	(6.2)	2.9	(0.3)
KHR (Cambodia)	0.6	1.4	0.8	0.2	JPY (Japan)	1.2	(10.3)	(7.0)	(2.6)	RUB (Russia)	(2.1)	21.7	23.6	20.2	NOK (Norway)	12.5	(10.7)	(3.6)	(3.0)
PHP (Philippines)	(2.1)	(4.2)	0.6	(2.8)	HKD (Hongkong)	(0.2)	0.6	(0.1)	(0.0)	INR (India)	(5.3)	(2.8)	(0.6)	(3.5)	ISK (Iceland)	9.9	(2.2)	4.5	0.1
VND (Vietnam)	(3.1)	(4.8)	(2.6)	(2.0)	KRW (Korea)	(0.3)	(12.5)	(1.8)	(2.9)	TRY (Turkey)	(17.2)	(16.5)	(36.6)	(25.2)	GBP (UK)	6.8	(1.7)	5.4	(1.5)
IDR (Indonesia)	(3.4)	(4.4)	1.1	(2.9)	MNT (Mongolia)	(3.4)	0.5	0.0	(6.1)	ARS (Argentina)	(28.4)	(21.6)	(78.1)	(40.2)	CAD (Canada)	4.5	(7.9)	2.3	(1.7)
Average	2.0	(2.3)	(2.1)	(2.2)	Average	2.0	(6.4)	(1.5)	(2.2)	Average	0.9	(9.5)	(3.9)	(7.8)	Average	11.0	(6.1)	3.4	(0.6)

JCI Index vs IDR Currency 2024-YTD



Consensus Forecasts on Regional Currencies

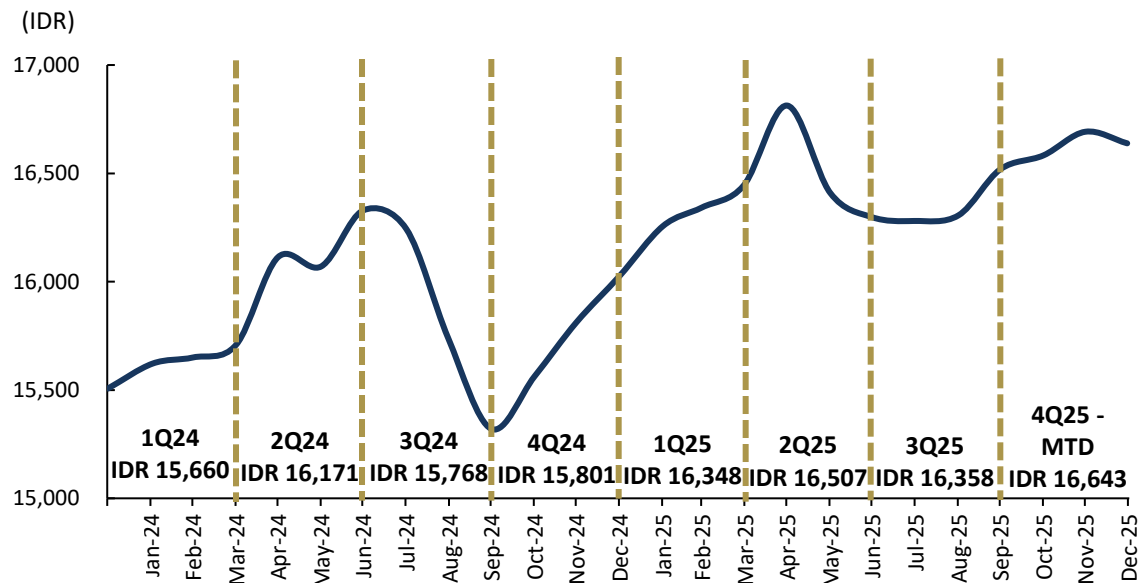
Country	Currency	Current rate per 1USD	YTD % Return	2024 End	2025F End Median	2025F End High	2026F End Median	2026F End High
Malaysia	MYR	4.1	9.4	4.5	4.2	4.3	4.1	4.3
Thailand	THB	31.5	8.1	34.1	32.2	33.0	32.5	33.5
Singapore	SGD	1.3	5.8	1.4	1.3	1.3	1.3	1.3
Taiwan	TWD	31.3	4.8	32.8	30.5	31.5	30.6	32.0
China	CNY	7.1	3.5	7.3	7.1	7.3	7.0	7.3
Hong Kong	HKD	7.8	(0.2)	7.8	7.8	7.9	7.8	7.8
Korea	KRW	1,476.7	(0.3)	1,472	1,410	1,475	1,400	1,490
Philippines	PHP	59.1	(2.1)	57.8	58.5	59.5	58.7	60.5
Vietnam	VND	26,301	(3.1)	25,485	26,400	26,500	26,600	27,004
Indonesia	IDR	16,664	(3.4)	16,102	16,600	17,000	16,700	17,300
India	INR	90.4	(5.3)	85.6	88.1	89.3	89.3	92.0

Sources: Bloomberg, SSI Research

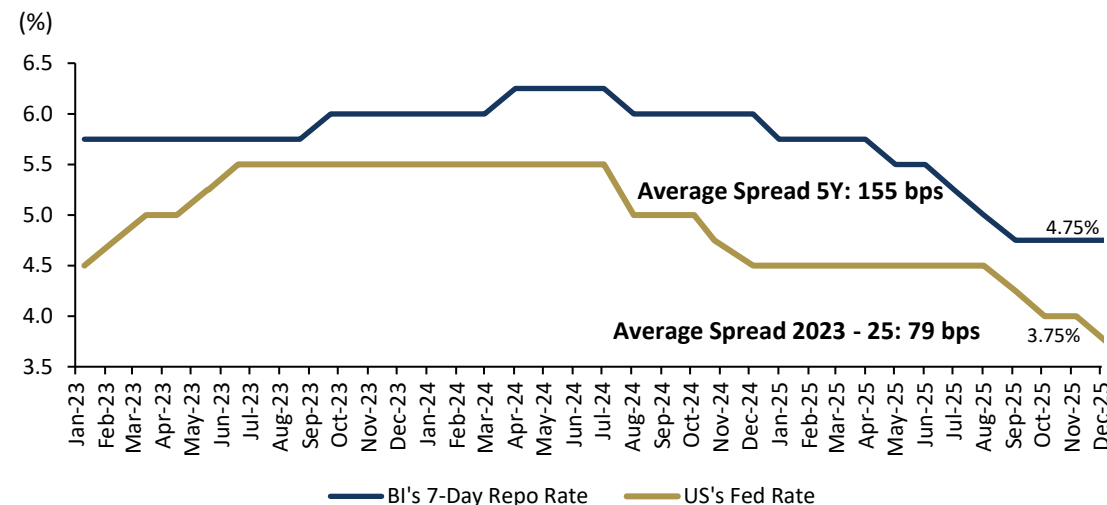
BI's 7-Day Repo Rate: Limited by IDR Depreciation

- Bank Indonesia kept its benchmark interest rate unchanged at 4.75% in the Nov-25 policy meeting, fully in line with market expectations. The policy stance maintains the benchmark at its lowest level since Oct-22, following cumulative 150 bps of easing since September last year. BI's decision underscores confidence that inflation in 2025 will remain comfortably within the target range of $2.5\% \pm 1\%$, supported by stable rupiah and favourable balance between price stability and growth momentum.
- The central bank also maintained the overnight deposit facility rate at 3.75% and the lending facility rate at 5.50%, signaling continuity in its accommodative posture. For markets, the hold decision reinforces BI's strategy of safeguarding inflation expectations while ensuring adequate monetary support to sustain domestic demand. With core price pressures staying manageable and the rupiah trading within a relatively stable band amid improving capital inflows, BI appears well-positioned to prioritize growth without jeopardizing macroeconomic stability.
- The policy hold also aligns with broader macro conditions, including resilient household consumption, early signs of a rebound in investment, and ongoing government efforts to strengthen industrial capacity through downstreaming and infrastructure acceleration. The combination of stable food supplies, targeted fiscal support, and improved supply-chain coordination has helped keep inflation pressures manageable, even as global commodity prices show intermittent volatility.
- Externally, risks persist but are more contained than in previous quarters. Softer U.S. Treasury yields have eased pressure on emerging-market currencies, although geopolitical tensions and global trade uncertainty still call for caution. Even so, Indonesia's improving real yield differential and solid external buffers—including healthy FX reserves and gradually narrowing current account position—provide additional cushion against sudden changes in global risk appetite.
- Looking ahead, BI's policy bias remains neutral with data-dependent stance. Given anchored inflation and growth showing resilience, the central bank, in the near term, is likely to maintain its current position of consistent balancing act between stability and growth while closely monitoring upcoming CPI readings, global financial market conditions, and the pace of domestic credit expansion.

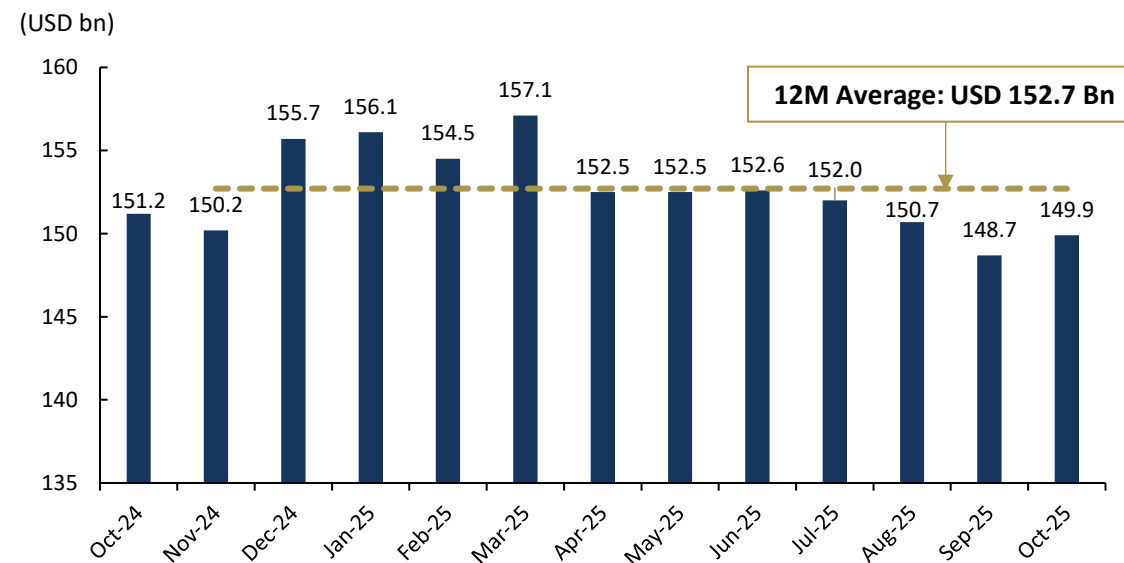
Quarterly USD/IDR Rate 1Q24 – 4Q25 MTD



Fed Rate vs BI's Rate



Monthly FX Reserves

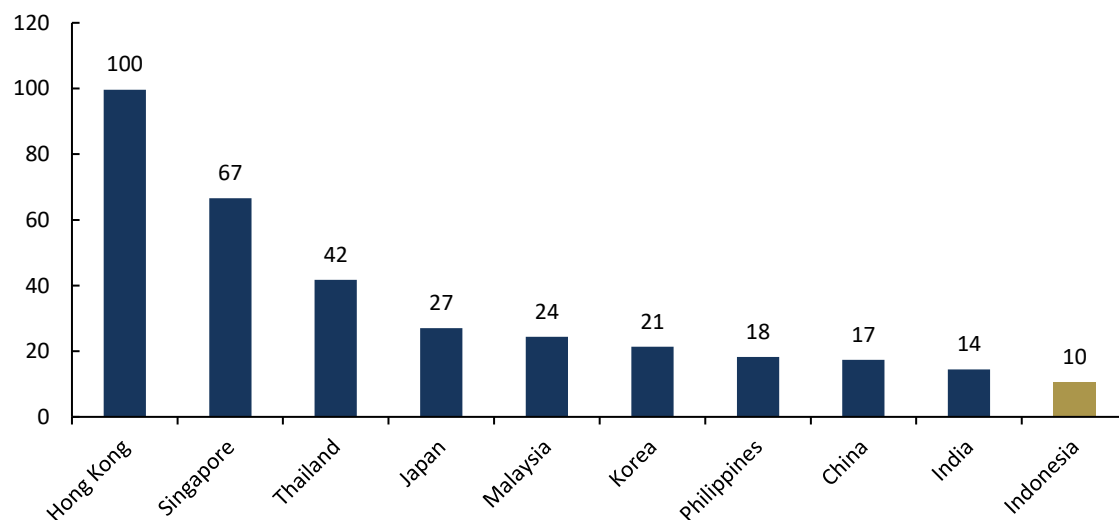


Indonesia Foreign Exchange Reserves: The Lowest in the Region to GDP

- Indonesia's foreign exchange reserves edged up to USD 150.1bn in November 2025, slightly higher than USD 149.9bn in October and marking the highest level since August. The figure is in line with SSI's forecast of USD 150bn, reaffirming the stability of Indonesia's external buffers amid persistent global market volatility. The modest increase was supported by robust tax and services revenue, along with government foreign loan withdrawals, helping to offset pressures from BI's continued IDR-stabilization measures in an environment of heightened global financial uncertainties.
- The current reserve position remains solid. At 6.2 months of import cover—or 6.0 months including government external debt repayments—Indonesia exceeds the international adequacy benchmark of approximately three months of imports, allowing ample room for BI to manage currency volatility and liquidity conditions as global markets adjust to shifting expectations for U.S. rates, risk appetite, and geopolitical dynamics.
- The trajectory of the reserves also mirrors Indonesia's relatively favorable balance-of-payments performance in recent quarters. Healthy non-oil and gas export earnings, consistent inward FDI flows, and controlled outbound payments have supported reserve accumulation despite occasional episodes of risk-off sentiment. BI's FX stabilization strategy, characterized by measured intervention and diversified FX instruments, continues to anchor currency expectations without exerting undue pressure on reserve adequacy.
- Going forward, we expect relative FX stability to remain broadly intact, supported by steady export performance, particularly from resource-based and downstream sectors, as well as foreign investment inflows. Softer U.S. Treasury yields and improving global liquidity conditions are likely to reduce near-term pressure on emerging-market currencies, providing space for BI to maintain stability.
- While global risks—from geopolitical tensions to commodity price fluctuations—remain a consideration, Indonesia's reserve position offers a substantial buffer against sudden capital outflows or external shocks. As long as export performance and foreign investment flows remain supportive, the reserves are likely to remain stable, reinforcing Indonesia's macroeconomic stability heading into 2026.

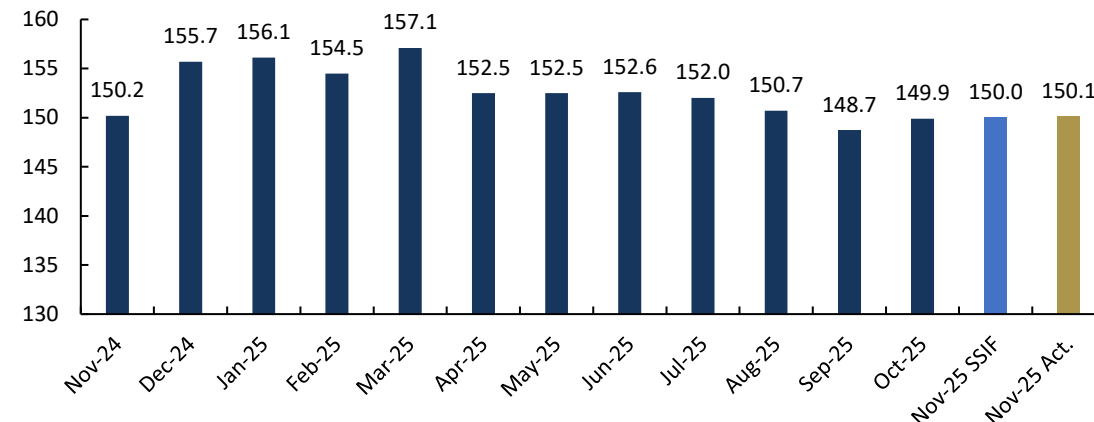
Regional FX Reserves to GDP, YTD

(%)



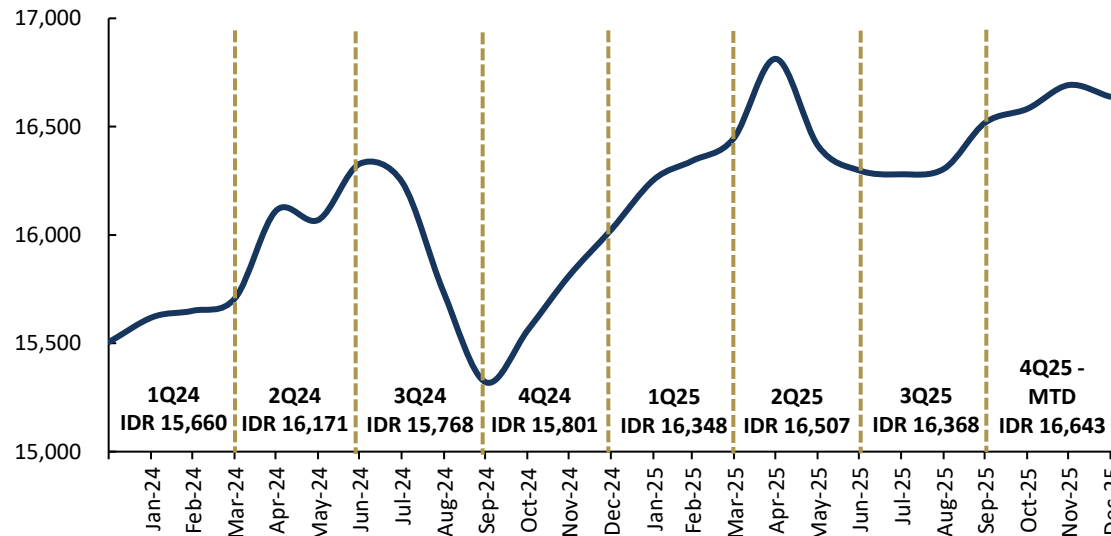
Indonesia Foreign Reserves, November 2024-25

(USD bn)



Quarterly USD/IDR Rate, 1Q24 – 4Q25 MTD

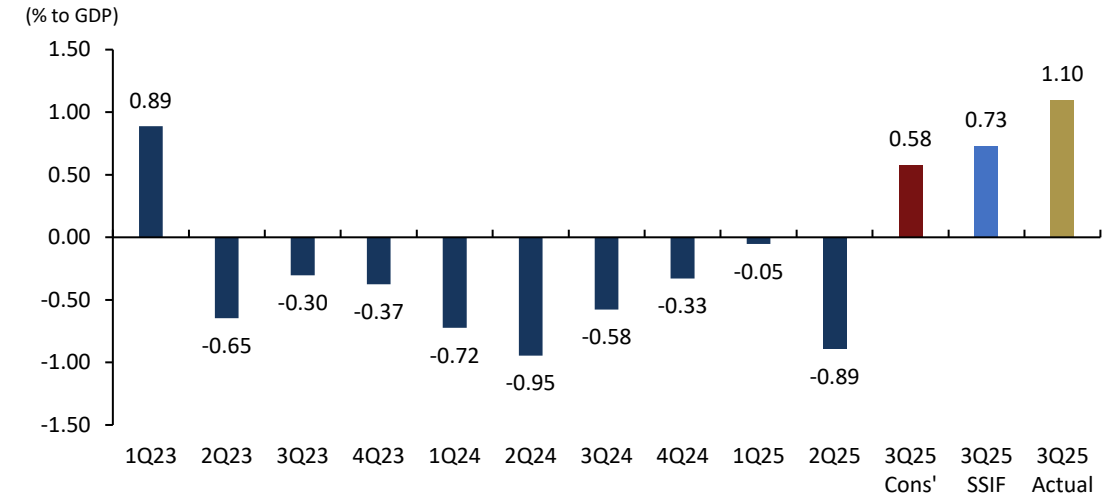
(IDR)



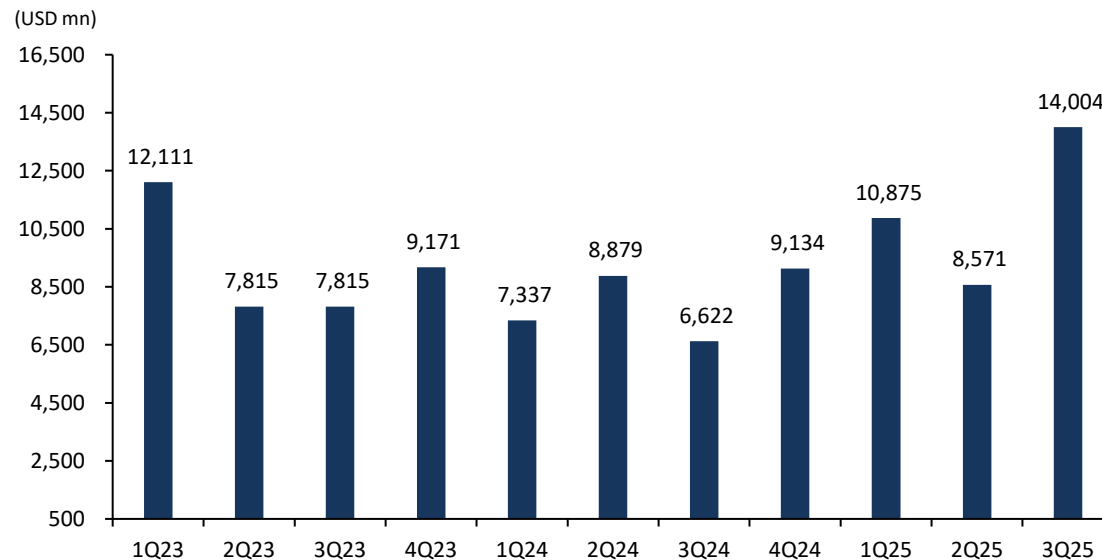
Current Account Balance 3Q25

- Indonesia returned to current account surplus in 3Q25 of USD 4.0 bn (1.1% of GDP), surpassing our forecast of USD 2.5 bn surplus and marking the country's first positive current account reading since 1Q23 and its largest since 3Q22, driven by sharp rebound in trade balance and firmer external inflows. The result underscores clear strengthening of Indonesia's external position, even as global conditions remain uncertain and external risks persist.
- The surplus rose to USD 16.1 bn from USD 9.2 bn YoY, helped by the performance of non-oil and gas sector such as CPO and processed nickel products, supported by steady demand from regional partners. At the same time, secondary income inflows increased to USD 1.7 bn, reflecting firm remittance trends and cross-border transfers.
- Some structural pressures remained, though manageable with primary income deficit having widened to USD 9.4 bn, in line with elevated profit repatriation and investment income payments stemming from earlier FDI inflows. Meanwhile, services account remained slightly in deficit at USD 4.3 bn on logistics and travel-related outflows still outweighing tourism recovery.
- The improvement is notable compared with 2024 when Indonesia's current account deficit widened significantly to USD 8.7 bn amid subdued foreign demand and shrinking goods surplus. The 3Q25 result therefore marks clear turnaround that fell comfortably within Bank Indonesia's projection for the year, ranging between 0.1% surplus and 0.7% deficit of GDP.
- Looking ahead, the sustainability of this surplus will depend on global demand conditions, commodity price dynamics, and the pace of domestic import recovery as investment picks up. For now, the Q3 outcome provides Bank Indonesia with stronger external buffer, supporting IDR stability and offering greater room to manage monetary policy amid ongoing global market volatility.

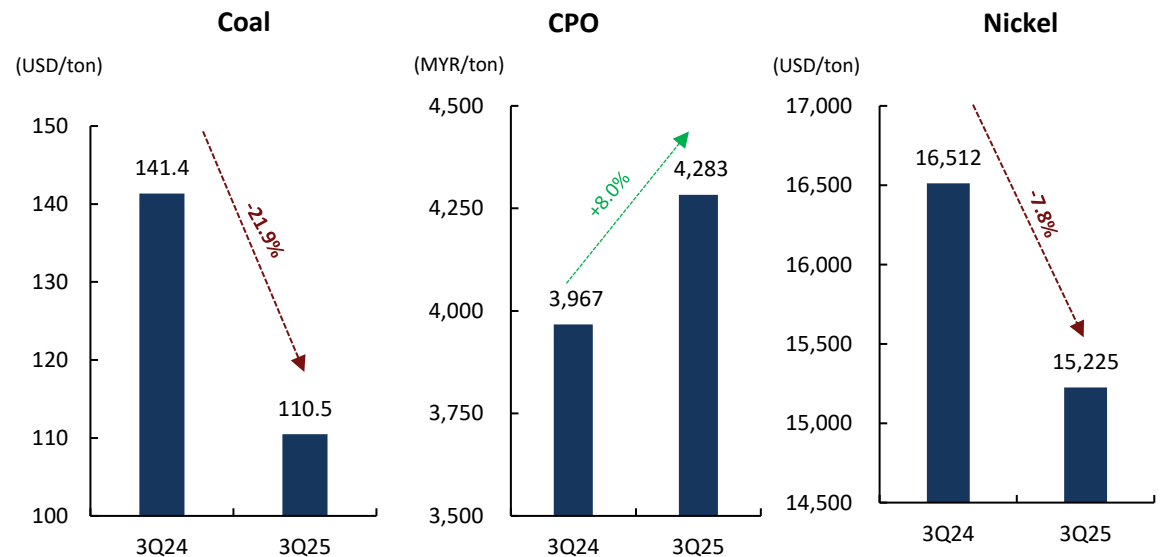
Current Account Balance, 1Q23 – 3Q25



Quarterly Trade Balance, 1Q23 – 3Q25



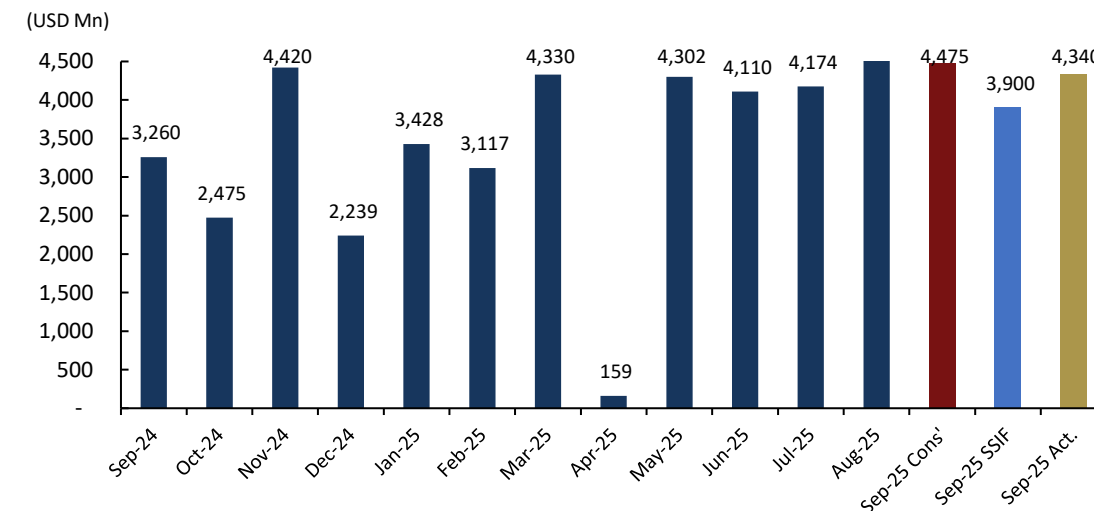
Various Average Commodity Prices, 3Q24 vs 3Q25



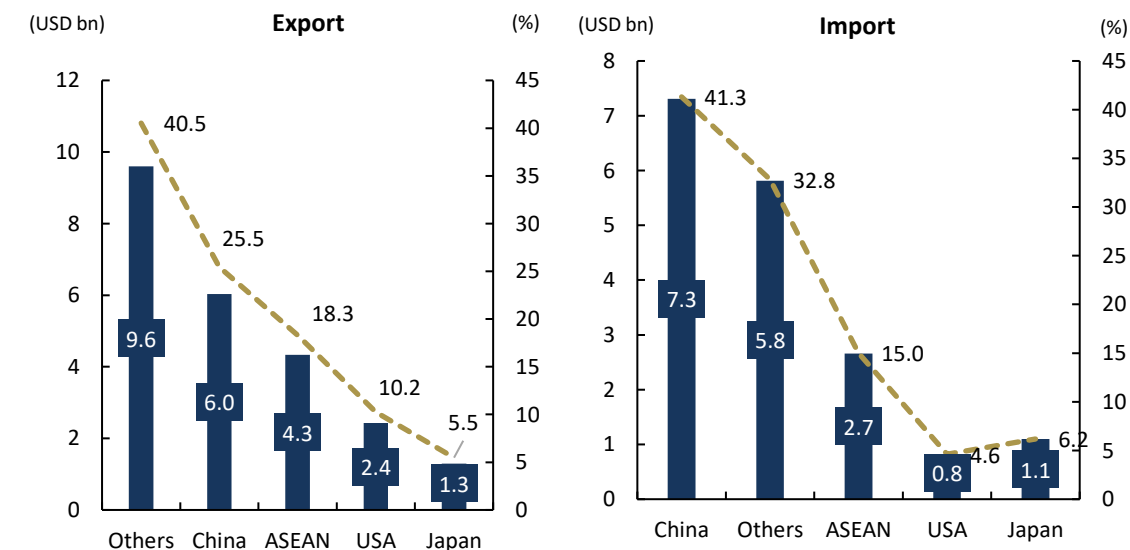
Balance of Trade

- Although the figure came in slightly below the market consensus of USD 4.47bn, Indonesia's trade balance recorded another healthy surplus in Sep-25, reaching USD 4.34bn, up from USD 3.23bn in the same month last year, underscoring stronger-than-expected export performance and slightly higher than SSI's estimate of USD 3.9bn on firmer rebound in domestic activities.
- Reflecting Indonesia's continued external resilience, exports surged 11.41% YoY, accelerating sharply from 5.78% in August and exceeding market expectations of 7.72% increase. This marked the fastest export growth since February, driven primarily by strong global demand for Indonesia's key commodities such as palm oil, and nickel-based (down-streaming) products. The improvement was further supported by higher prices particularly for CPO as well as resilient demand from major trading partners including China, the US, and India. Manufactured exports also contributed positively, particularly electronics, chemicals, and auto components, signaling Indonesia's gradual diversification beyond traditional commodity dependence.
- Imports rose 7.17% in September, rebounding from a 6.56% contraction in August and marking the first increase in three months—the fastest since April. The recovery was led by higher purchases of capital and intermediate goods, reflecting stronger investment and production activities. Rising imports of raw materials and machinery suggest that domestic industries are restocking and expanding capacity ahead of the year-end production cycle. This trend also aligns with the government's continued infrastructure spending and downstream industrialization push, both of which are expected to stimulate further import growth in the coming quarters.
- Looking ahead, Indonesia's trade outlook remains cautiously optimistic. Export performance is likely to stay firm in the near term, supported by elevated commodity prices and steady demand from Asian trading partners. However, downside risks persist from potential softening in global manufacturing and fluctuations in commodity markets, particularly if China's industrial recovery loses momentum or global trade tensions intensify. On the domestic side, imports are expected to continue rising as consumption and investment strengthen in line with fiscal expansion and improving business confidence. Overall, September's trade performance suggests a balanced growth trajectory—where external surpluses remain robust while gradual import recovery points to healthy revival of domestic economic activities.

Indonesia Trade Balance



Export & Import Values of Non-Oil & Gas Goods, Sep-25



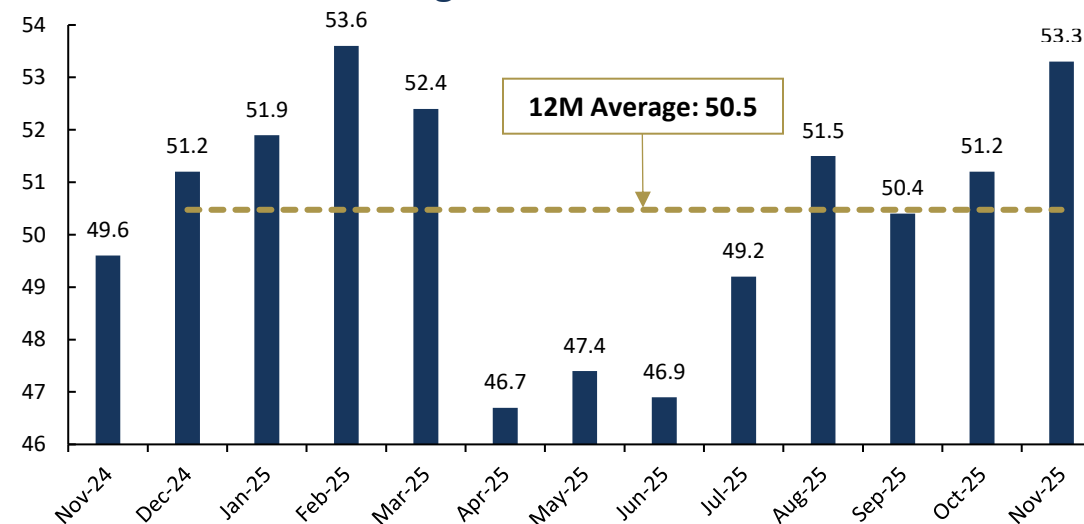
Export, Import Value (USD mn)

Description	Aug-25	Sep-25	Sep-24	% (MoM)	% (YoY)
Exports	24,963	24,679	22,151	-1.1	11.4
Agriculture, Forestry, and Fisheries	603	626	562	3.7	11.3
Oil and Gas	1,073	994	1,151	-7.3	-13.6
Mining and Others	3,469	3,155	3,886	-9.0	-18.8
Manufacturing	19,819	19,904	16,552	0.4	20.3
Imports	19,475	20,335	18,974	4.4	7.2
Consumption Goods	1,880	1,931	1,855	2.7	4.1
Capital Goods	3,948	4,576	3,575	15.9	28.0
Intermediate Goods	13,647	13,828	13,544	1.3	2.1

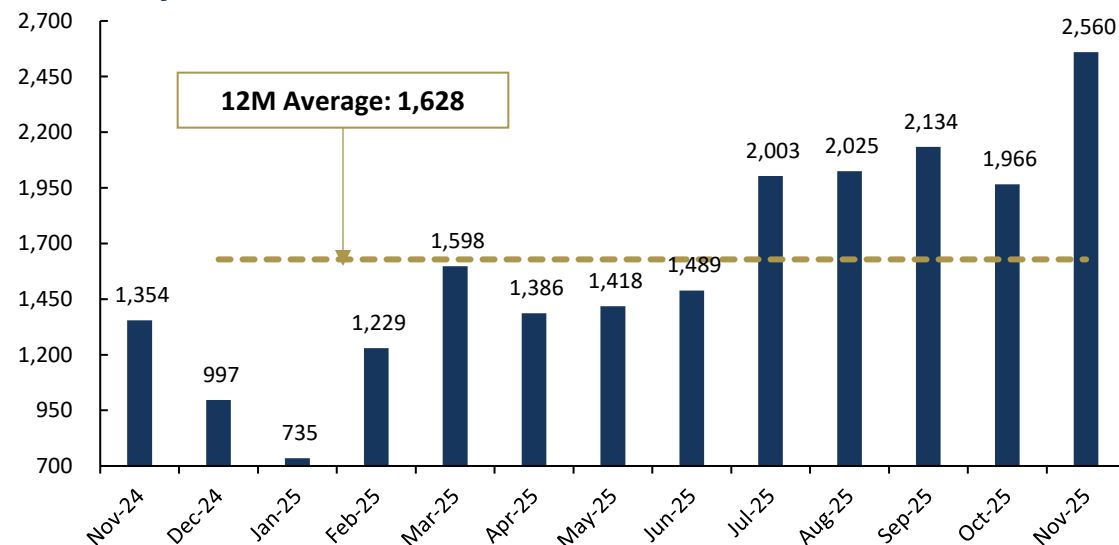
Indonesia Manufacturing PMI

- Indonesia's manufacturing sector entered November with stronger momentum, as the S&P Global Manufacturing PMI climbed to 53.3 from 51.2 in October—its highest reading since February and marking the fourth straight month of expansion. Domestic demand continued to anchor activity, reflected by new orders rising at the fastest pace since August 2023 and spurring firms to revive output post a three-month lull. The return of production growth was notably solid, the strongest in 9M, suggesting earlier weaknesses were more cyclical, although some structural issues remain as discussed below.
- Job creation extended into a fourth month, signalling confidence from manufacturers, despite a slight easing in hiring pace which indicates firms are adding capacity more cautiously. Equally important was the turn in production pipelines. Backlogs increased for the first time this year and at the most rapid pace in over four years, a rare signal of tightening factory capacity and possibly stretched utilisation rates. Input purchases accelerated in parallel, rising at the fastest pace in eight months as firms built safety buffers and prepared for continued output expansion. This inventory-accumulation behaviour reflects both readiness to meet incoming demand and a response to supply-side risks. Export-linked producers, however, faced the opposite direction of momentum: foreign orders fell at their steepest pace in 14 months, suggesting external recovery remains uneven and less supportive than domestic momentum.
- The supply chain environment also turned more complex. Delivery times extended to their worst levels since October 2021, driven by road congestion and adverse weather that disrupted logistics flows. This bottleneck created friction just as firms were scaling purchasing and production, amplifying cost pressures and elongating operational lead times. Input inflation climbed to its highest level since February, fuelled by raw materials price increases and currency fluctuations. Manufacturers responded by adjusting pricing strategies, pushing factory-gate prices higher at the fastest pace in 19 months. This marks a shift from margin absorption to partial cost pass-through, signalling that inflation risks may slowly migrate from upstream to downstream segments.
- While the sector is clearly expanding, the tone beneath the headline is nuanced. Growth is domestically driven but externally uneven, capacity is tightening but logistics are strained, and firms are optimistic yet more guarded in sentiment. The moderation in business confidence suggests that companies recognise both the strength of underlying demand and the fragility of operating conditions.
- Looking ahead, the sector retains a constructive tone, supported primarily by domestic orders, rising purchasing volumes, and recovering production levels. If supply chain conditions stabilise and weather disruptions ease, output growth could remain firm into year-end. However, several risks warrant attention: weak foreign demand may cap upside for export-oriented industries, ongoing cost pressures could compress margins and feed into producer-level inflation, and persistent logistics constraints may hinder expansion.

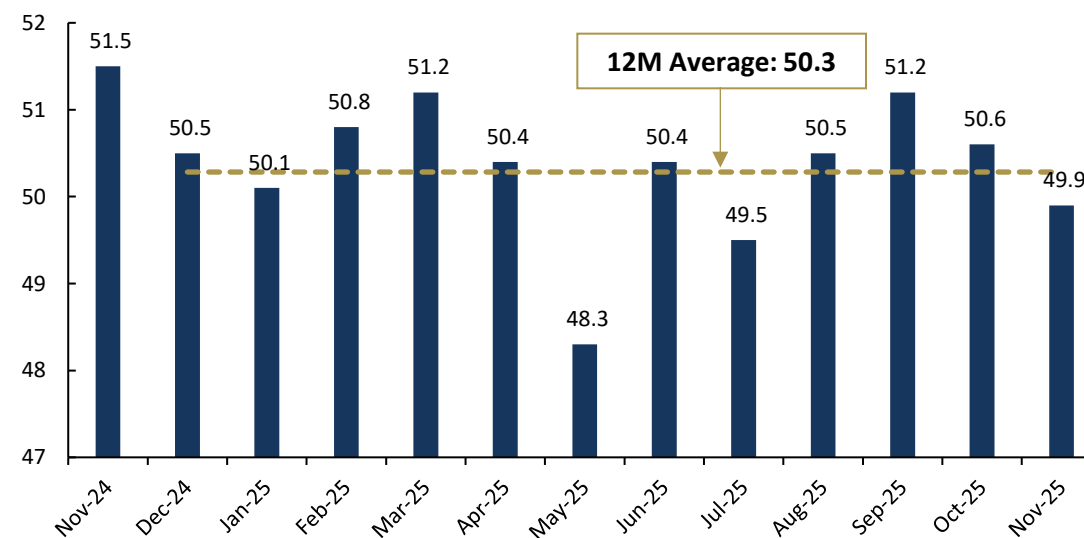
Indonesia Manufacturing PMI



Baltic Dry Index



China Caixin Manufacturing PMI



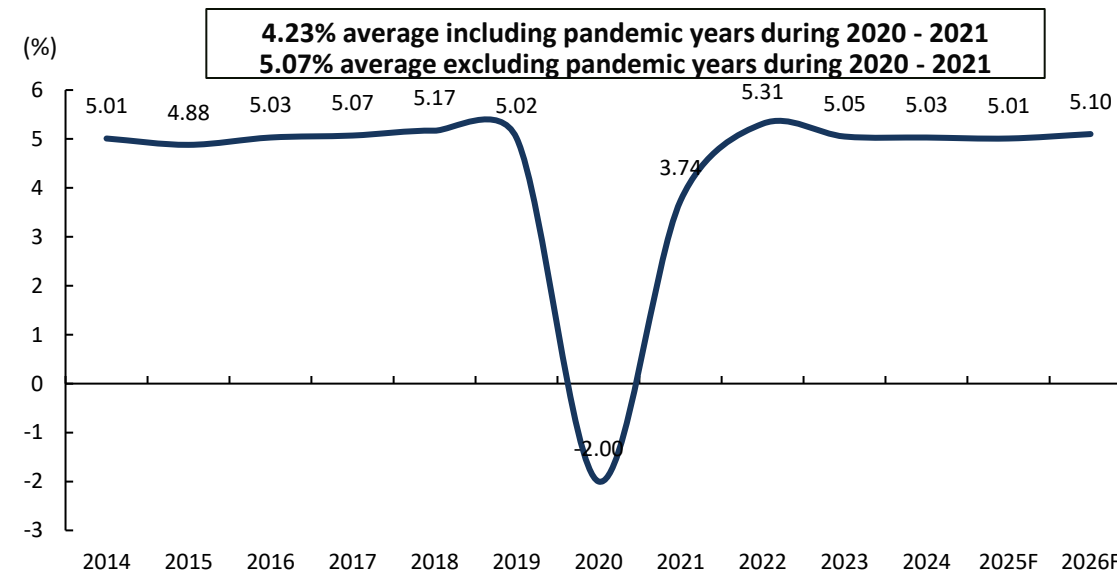
Indonesian Politics

Politics: Plenty of Challenges

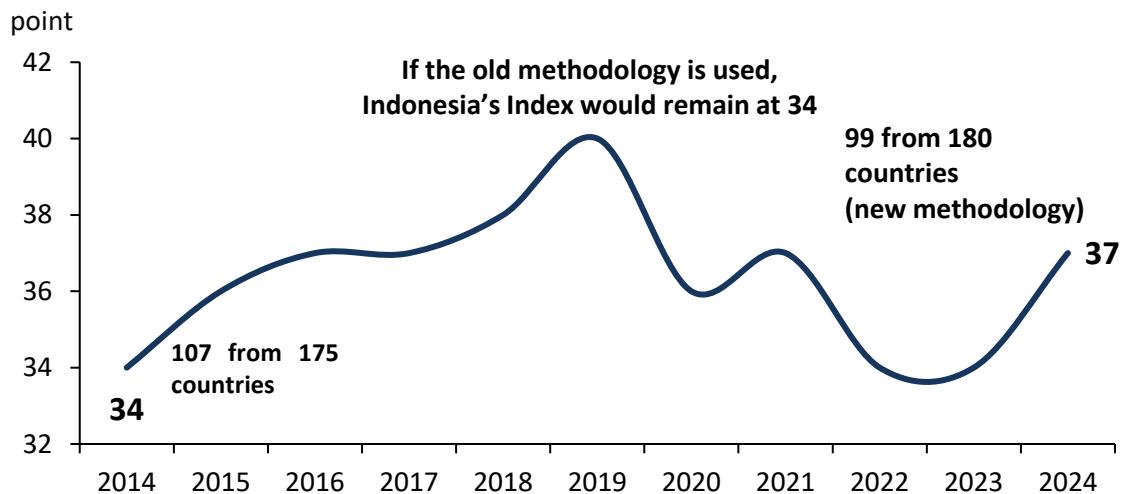
Prabowo's Campaign Promises: 8% GDP Growth & Free Lunches



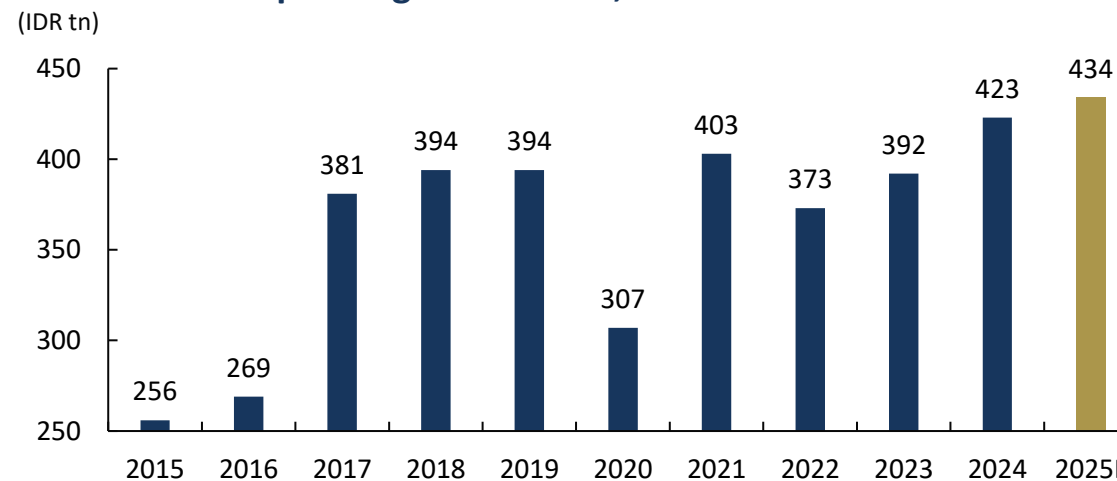
Indonesia GDP Growth 2015 - 2026F



Corruption Index Indonesia, 2014 - 2024



Infrastructure spending: Flat at best, to fall in favor of food security



Land Confiscation & Agrinas Takeover

Policy Action:

The PKH Task Force confiscated over 2 million hectares of oil palm plantations operating illegally within forest areas, with substantial portions transferred to Agrinas, a newly established SOE

Key Concerns:

The process was widely viewed as unilateral and insufficiently verified, disproportionately affecting smallholders and indigenous communities; market observers raised concerns that the policy may shift concentration from private operators to state-controlled entity, leading to social resistance in several regional and legal challenges over land rights

SOE Privilege & Financial Control Measures

Policy Actions:

- Lower effective tax burden for SOEs, creating disparity vs non-SOEs
- Exporters are required to place export proceeds (DHE) with state-owned Himbara banks

Key Concerns:

Distorted competitive landscape between SOEs and private corporates; mandatory FX parking reduces treasury flexibility for exporters and concentrates liquidity within SOE banks at the disadvantage of private banks

Coal & Gold Taxation (Expected 2026)

Policy Action:

The government is expected to introduce additional taxations on coal and gold, aimed at strengthening fiscal revenue and increasing state capture of commodity windfalls amid budget pressures

Key Concerns:

The policy may compress margins, weaken export competitiveness, and increase earnings volatility—particularly during commodity downcycles—while raising risks of policy-driven de-rating, higher cost of capital, and softer investment appetite, especially for export-oriented miners

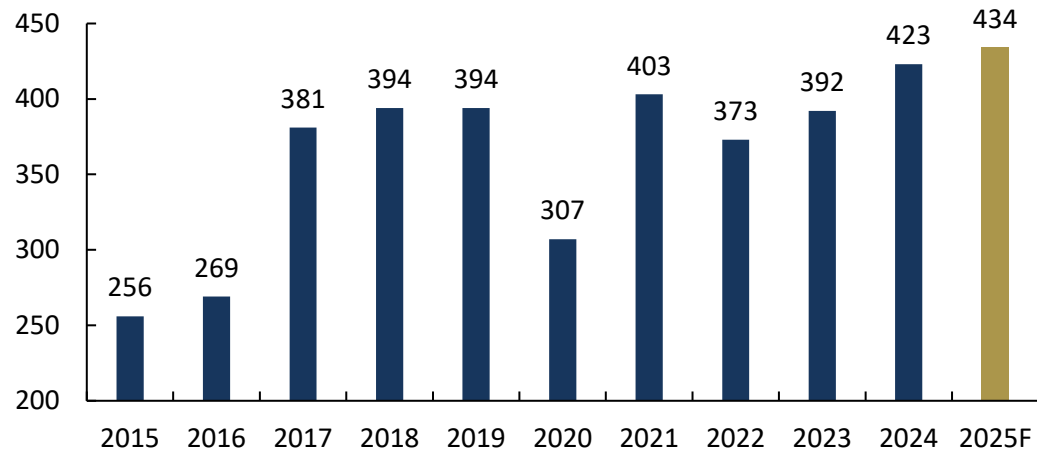
Indonesia's 2025 policy direction reflects a shift toward state-directed allocation and control, increasing governance risk, regulatory uncertainties, and earnings pressures, particularly for private-sector and export-oriented corporates



Reintroducing IKN: Slow Development on Budget Constraints

Infrastructure Spending: Still Slightly Growing

(IDR tn)



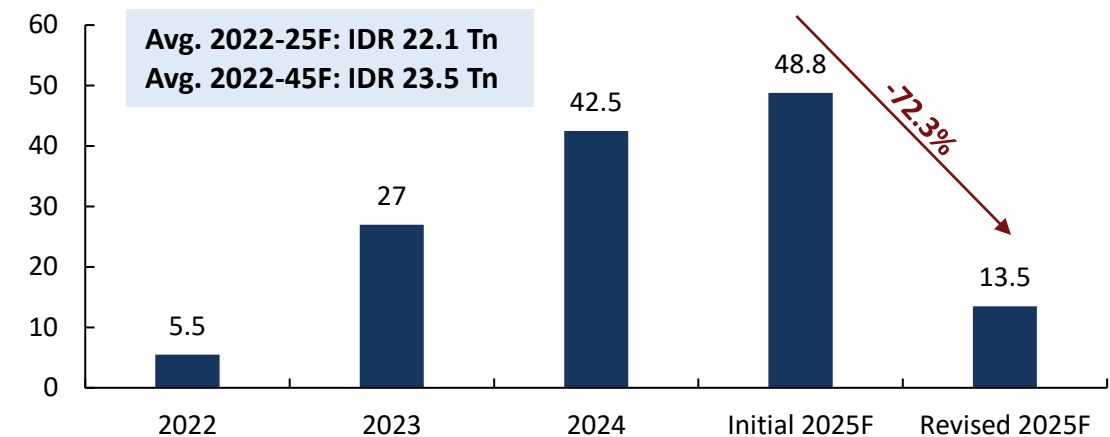
Total Spending 2022 – 2045: IDR 541 Trillion



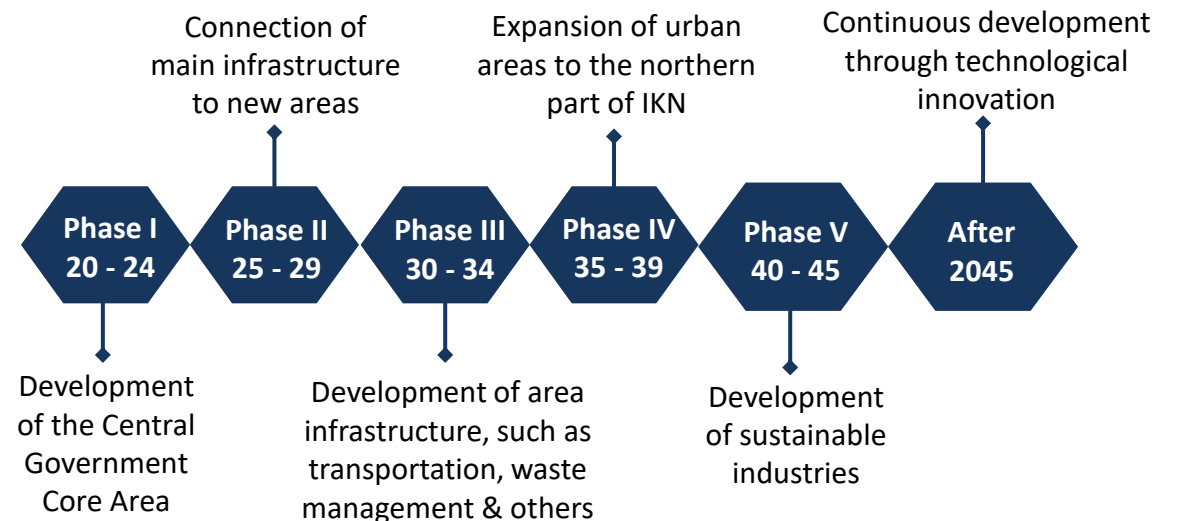
- ❑ IKN's development appears to have hit a stumbling block on lack of gov't spending, despite total planned cost of IDR 541 tn (USD 35 bn).
- ❑ So far, no foreign investors have committed in the project, even after President Jokowi signed a new regulation granting cultivation rights (HGU) of up to 190 years in IKN.

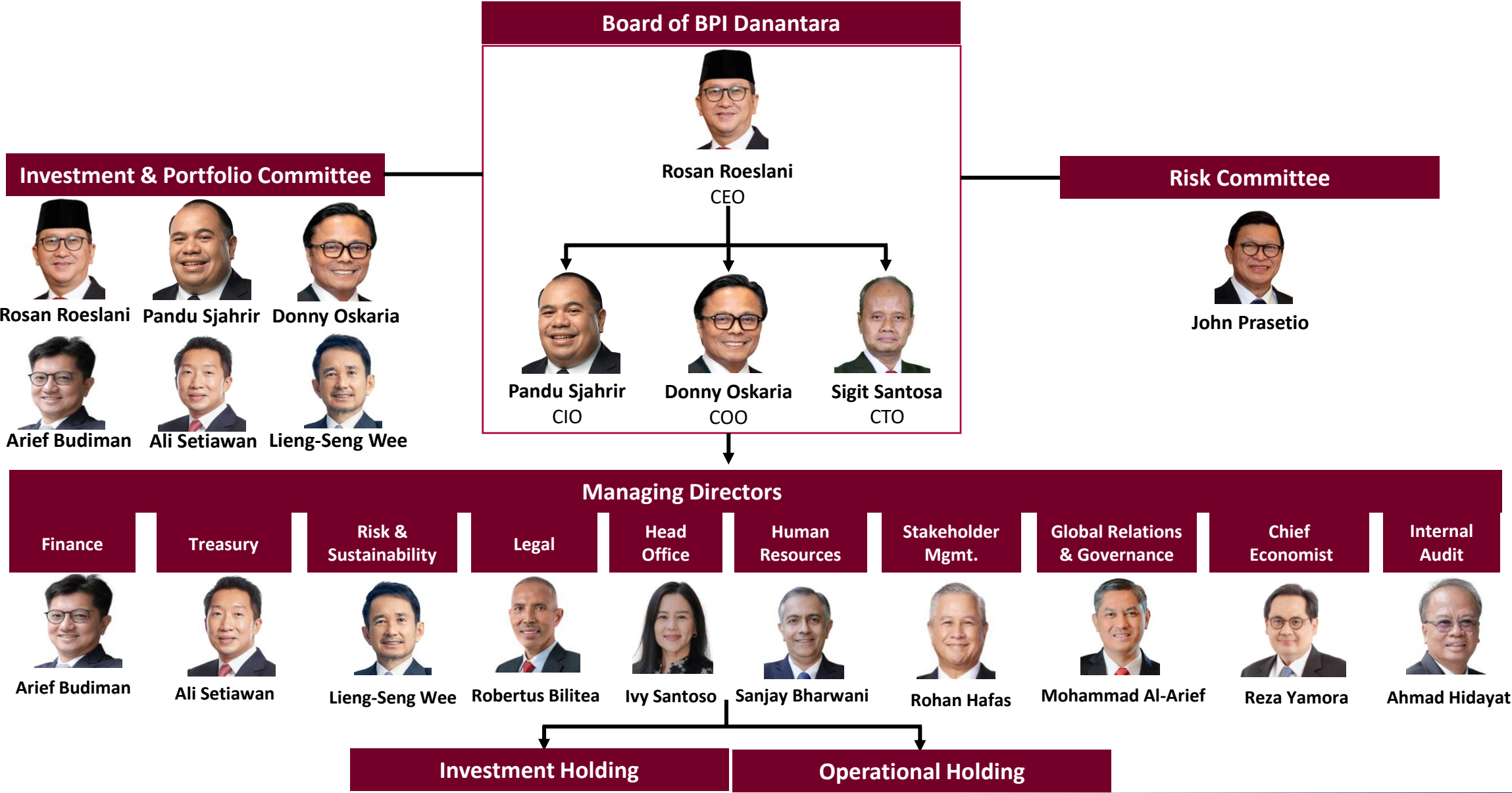
IKN 2022 – 2025 Budget: IDR 88.5 Trillion – Slowing

(IDR tn)

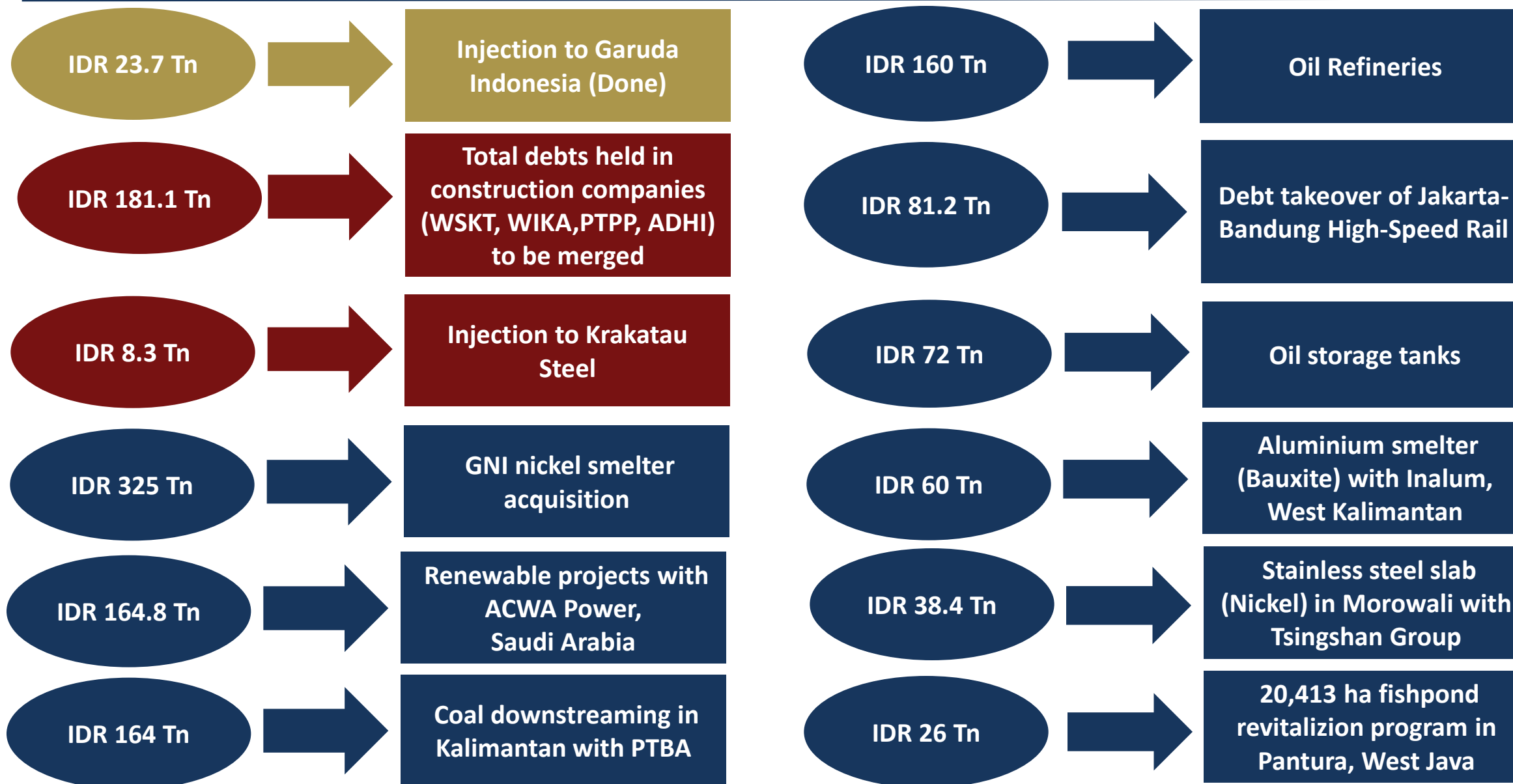


IKN Megaprojects Roadmap





Danantara's Recent Major Strategic Actions



Thank You

Your Lifelong
Investment Partner

SSI Research Team

PT Samuel Sekuritas Indonesia

Menara Imperium, 21st Floor, Jl. HR. Rasuna Said Kav. 1 Jakarta 12980,
Indonesia

Tel. +62 21 2854 8100 | www.samuel.co.id

 [samuelsekuritasindonesia](https://www.instagram.com/samuelsekuritasindonesia)

 [samuelsekuritas](https://twitter.com/samuelsekuritas)

 [SamuelSekuritasIndonesia](https://www.youtube.com/SamuelSekuritasIndonesia)